

Valuation Report

Rural Property



“LRC”82 Rocky Creek Dam Road, Dunoon, NSW 2480

As at
Prepared for
Borrower
Our Ref
Client Ref

26 August 2019
National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries
Discovery Macadamia Pty Ltd ACN 609 762 594 ATF Discovery Macadamia Unit Trust
JB1579102
ValEx ID: 12202764

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender’s Customer Disclaimer.

Lismore

Herron Todd White (NAT Operations) Pty Ltd
ABN 96 632 595 692

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 - a. directly paid for or reimbursed the lender specifically for this Valuation Report; and
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3. HTW prepared the Valuation Report in accordance with the Lender's instructions (Instructions). When preparing the Valuation Report and providing it to the Lender, HTW acted solely and exclusively for the Lender and owed no duty to advise the Lender's Customer or to consider their circumstances or position.
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 - a. deciding whether or not to enter into a transaction or alter their financial position; or
 - b. seeking finance from a third party, and should seek their own advice and valuation in such circumstances.
8. The estimated insurance value, if included in the Valuation Report is an estimate of the cost to replace the property new and is based on construction costs at the date of valuation. The insurance value includes some, but not all, ancillary costs that may be encountered when rebuilding the property as detailed in the Valuation Report. The insurance value should not be relied on as a full and accurate estimation of the insurance value for the purposes of making a decision as to the level of insurance coverage that the Lender's Customer should maintain.
9. The contents of the Valuation Report are confidential and HTW does not authorise the disclosure of the Valuation Report by the Lender's Customer to any third party.
10. The Lender's Customer should take note of the date of valuation of the subject property and be aware that the Valuation Report is current at the date of valuation only. The market value of the property may change significantly over a short period of time.
11. The Lender's Customer should direct any questions relating to the Valuation Report to the Lender. HTW is unable to speak to the Lender's Customer directly due to privacy and confidentiality obligations owed to the Lender.



EXECUTIVE SUMMARY - MORTGAGE FINANCE VALUATION

INSTRUCTIONS

Property Address	"LRC" 82 Rocky Creek Dam Road, Dunoon, NSW 2480.
Instructing Party	Paula Hilliard, National Australia Bank Limited.
Prepared For	National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries.
Date of Inspection	26 August 2019.
Date of Valuation	26 August 2019.
Borrower / Client Reference / Applicant	Discovery Macadamia Pty Ltd ACN 609 762 594 ATF Discovery Macadamia Unit Trust / ValEx ID: 12202764.
Basis of Assessment	The interest being valued is the market value of the: • unencumbered fee simple with vacant possession 'in use' including water licences and macadamia nut trees but excluding crop, mobile plant and equipment and net of GST. • unencumbered fee simple with vacant possession 'alternate use' including water licences but excluding macadamia nut trees, crop, mobile plant and equipment and net of GST. Our valuation has been prepared for first mortgage security purposes for use by National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries. It has been prepared in accordance with the current Australian Property Institute's Mortgage Valuation Practice Standards and National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries standard instructions.
Purpose of Valuation	First Mortgage Security Purposes Only. This valuation report is for the use of and may be relied upon only by the party/parties to whom it is addressed. No other parties are entitled to use or rely upon it and the valuer does not assume any liability or responsibility to any other party who does so rely upon the valuation without the express written authority of Herron Todd White (NAT Operations) Pty Ltd.
Definitions	Market Value The estimated amount for which an asset or liability should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. Highest and Best Use The use of an asset that maximises its potential and that is physically possible, legally permissible and financially feasible. In Use An "in use" valuation includes all necessary fixed plant and equipment considered necessary to operate the property on its declared highest and best use basis. It is emphasised that an "in use" valuation is not assessed on a going concern basis (i.e. no business component or moveable plant is included). The approach simply reflects the fact that some farms rely on (and are normally sold with) certain items of fixed plant which enhance the property value, but are not legally regarded as part of the freehold.



Alternate Use

The alternate use value is one in the same as market value, however ignoring the existing use and adopting the highest and best alternate use of the property under the existing zoning and development constraints.

TITLE AND STATUTORY DETAILS

Real Property Description	Lot	Plan	Tenure	Title Ref.	Registered Owner	Area (ha)
	14	827766	Freehold	14/827766	Discovery Macadamia Pty Ltd	12.19
	15	827766	Freehold	15/827766	Discovery Macadamia Pty Ltd	52.72
	16	827766	Freehold	16/827766	Discovery Macadamia Pty Ltd	53.14
	3	632934	Freehold	3/632934	Discovery Macadamia Pty Ltd	2.30
	1	555501	Freehold	1/555501	Discovery Macadamia Pty Ltd	4.05
	2	555501	Freehold	2/555501	Discovery Macadamia Pty Ltd	14.54
	Total					138.94

Encumbrances

Title searches, dated 13 September 2019, have been carried out by Herron Todd White and are annexed to this report.

Second Schedule

Lot 14 DP827766

- 1 Land excludes minerals and is subject to reservations and Conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 15 DP827766

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 Land excludes the road(s) shown in the title diagram. Unformed Crown roads which, given the terrain and the locality, appear unlikely to be opened in the foreseeable future.
- 3 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 16 DP827766

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 Land excludes the road(s) shown in the title diagram. Unformed Crown roads which, given the terrain and the locality, appear unlikely to be opened in the foreseeable future.
- 3 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 3 DP632934

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.



Lot 1 DP555501

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

Lot 2 DP555501

- 1 Land excludes minerals and is subject to reservations and conditions in favour of the Crown - see Crown Grant(s). A common encumbrance, we have not searched the Crown Grant(s) and assume nil adverse.
- 2 AK683985 Mortgage to National Australia Bank Limited. The valuation assumes all mortgages are repaid.

The above noted easements and encumbrances have not been individually searched nor a legal opinion obtained regarding their precise impact on the land.

This valuation is subject to there being no other easements and encumbrances, which may have an adverse effect on our valuation. Should any such easement or encumbrance become apparent, we reserve the right to review our valuation.

Water Rights

Licence Details	Unregulated River	Unregulated River	Unregulated River
Reference No	30AL305996 WAL 22119	30AL305983 WAL 22146	30AL305962 WAL 22132
Registered Owner	Not searched	Not searched	Not searched
Registered Parcels	L16 DP827766, L3 DP623934	L16 DP827766, L244 DP725894	L1 & 2 DP555501, L3 DP623934, L244 DP725894, L16 DP827766
Water Authority	Richmond River Area Unregulated, Regulated and Alluvial	Richmond River Area Unregulated, Regulated and Alluvial	Richmond River Area Unregulated, Regulated and Alluvial
Water System Type	Unregulated river	Unregulated river	Unregulated river
Trading Zone	Terania Creek Water Source	Terania Creek Water Source	Terania Creek Water Source
Annual Limit (ML)	1	45	60
Service Points	65 mm centrifugal pump, irrigation	65 mm centrifugal pump, irrigation	50 mm centrifugal pump, irrigation

Licence Details	Unregulated River
Reference No	30AL306013 WAL 22176
Registered Owner	Not searched
Registered Parcels	L14 & 15 DP 827766
Water Authority	Richmond River Area Unregulated, Regulated and Alluvial
Water System Type	Unregulated river
Trading Zone	Terania Creek Water Source
Annual Limit (ML)	98
Service Points	50 mm centrifugal pump, irrigation



No water title/licence search has been undertaken or sighted. In the event that a title/licence search reveals any information or discrepancy which may affect the value of the property, the valuer's opinion should be obtained before reliance is placed on the valuation.

The trading rules of this water source are as follows:-

"INTO water source

Not permitted

WITHIN water source

Permitted, subject to assessment

Conversion to High Flow Access Licence

Permitted at the ratio of 1:5 for entitlement conversion.

Conversion to Aquifer Access Licence

Permitted, subject to assessment."

Trades that are permitted appear to be into the Coraki and Wyrallah Water Sources. We understand that there is a significant volume of water allocated in the Coraki Water Source that is relatively dormant.

The opportunity to convert to an aquifer licence (if underground water was to be reasonably accessible from a bore(s) is very attractive for avocado and blueberry type purchasers. Similarly the 1:5 ratio for high flow conversion is attractive if a dam site that is economical to construct is available.

Local Authority

Lismore City Council.

Zoning

The property is designated RU1 Primary Production Zone according to the Lismore Local Environmental Plan 2012 LEP) that took effect on and from 22 February 2013.

A dwelling is a permitted use under this zoning. The minimum subdivision area is partly 20 ha and partly 40 ha. The LEP states "4.1 Minimum subdivision lot size

"(3) The size of any lot resulting from a subdivision of land to which this clause applies is not to be less than the minimum size shown on the Lot Size Map in relation to that land." All of the lots are partly mapped as minimum lot size of 40 ha. We have no advice on dwelling entitlements for each lot.

Dwellings constructed on the land are as follows:

Lot 16 DP 827766 – one dwelling.

Lot 14 DP 827766 – one dwelling.

Lot 1 DP 555501 – two dwellings.

The dwellings constructed on the above noted lots indicates, and we assume that each of these lots have a dwelling entitlement. Lot 15 DP 827766 is more than the minimum lot size of 40 ha and therefore has a dwelling entitlement. We are uncertain of the dwelling entitlement status of the other 2 lots, specific search at Lismore City Council would be required.

Macadamia nut tree farming is permitted without consent as 'Horticulture' as 'Intensive plant agriculture' under the LEP. LEP mapping indicates the subject property is affected in total by the Drinking Water Catchment Map. Farming may become more 'prescriptive' in these locations. Refer Annexures for a Rous County Council brochure in relation to macadamia nut tree farming in water catchments.

It should be noted that we have not sighted any town planning approvals for the subject property. Our valuation is based on the assumption that all of the improvements have been fully approved by the Council.

A Local Authority search has not been carried out and it is assumed the property is free of requisitions.



VALUATION SUMMARY

Property Description “As Is”

The subject property is located about 26 km north of Lismore at Dunoon. It is a 138.94 ha property comprising 6 lots on mostly moderate to steeper slopes. The soil is mostly red basalt planted to a rain fed macadamia orchard of a stated 97.47 ha of macadamia nut trees, stated to be 38,130 trees (our check measures indicate 98.4 ha and 41,460 trees – but we adopt the owner supplied data). The main varieties are 246, 344, 508 and 800 on ‘tight’ spacings of mainly 7 x 3.5 metres. These are ‘older’ varieties but remain popular, in particular 246 & 344. The 204 megalitres of water licences are also attractive features of this property.

The macadamia orchard is reasonably well presented. The orchard is one of the older orchards on the NSW North Coast being up to 39 years old. Production figures supplied for the 2016 - 2018 harvests indicate yields in the range of 199.2 – 233.3 tonnes per annum nut in shell (NIS) @ 10 % moisture. This represents an average of 2.2 tonnes per hectare, which is still attractive. This is lower than the 3 tonnes per hectare yields that many growers aim for. The subject property is quite elevated and may have a higher rainfall than the lower altitude Dunoon sales evidence. Higher rainfall and more consistent shower conditions such as is experienced on parts of the Alstonville plateau, in local experience and anecdote, can lead to higher productivity and kernel recovery. There has been no kernel recovery data supplied, but a reasonable industry average is assumed. We understand the crop is almost all exported directly to China for processing.

Structural improvements includes four cottages, machinery sheds, pump sheds and tanks.

The macadamia farm market is very strong on the NSW North Coast at present. There is limited recent evidence of sales in this value range.

All photographs in this report were taken by the Valuer on the date of inspection

Last Sale

The last recorded sale was on 22 December 2015 for \$17,581,099. This amount is the gross value of the purchase of an amalgamation of four properties including the subject property in the Dunoon area. We have not been provided with a detailed apportionment of the purchase across the four properties, but some broad calculations and analysis indicate a value paid of about \$35,000/ha of mature orchard.

Values have increased since this sale. Of note in relation to increasing values of macadamia farms is Sale 8 in this report, 100A Lindendale Road, Lindendale which sold previously in May 2014 for \$1,450,000 (dwelling and pool constructed after the sale date). In 2014 this sale indicated an analysed value of \$37,121/ha of mature orchard. Five years later in May 2019 the analysis is \$72,597/ha of mature orchard (value increase \$35,476/ ha of mature orchard).



Market Value Subject to the assumptions and qualifications contained within the body of this report, the market value of the subject property (exclusive of GST) as at the date of valuation, has been assessed at:

“As Is”

Valuation Assessment

Market Value “As Is” **\$8,150,000**

(Eight Million One Hundred & Fifty Thousand Dollars)

“Alternate Use”

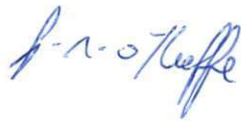
Valuation Assessment

Market Value “Alternate Use” **\$4,500,000**

(Four Million Five Hundred Thousand Dollars)

Our market value assessment is exclusive of any applicable GST.

Valuer



Paul O'Keeffe
AAPI / Certified Practising Valuer
API NUMBER: 68133 - STATE
REGISTRATION NUMBER QLD: 3006



Patrick Lally
AAPI / Certified Practising Valuer
Quality Assurance Manager
API NO: 68272

Important:

This valuation is for the use only of National Australia Bank Limited ABN 12 004 044 937 and its wholly owned subsidiaries to whom it is addressed and for no other purpose. No responsibility is extended to any third party who may use or rely on the whole or any part of the content of this valuation. No responsibility will be accepted for photocopied signatures.

The Counter Signatory, Patrick Lally, has reviewed the report and is satisfied that the opinion of value contained in the report has been reached based on reasonable grounds. For the avoidance of doubt, the Counter Signatory has not inspected the property and as such (under the API Professional Practice) cannot be an author of this report, and is confirming prima facie that the methodology used by the author of the report (the prime signatory) is sound.

This Valuation Report is prepared for the Lender named above and for first mortgage purposes only and is not to be used or relied upon by any other party for any other purpose. It is subject to the terms and conditions, disclaimers, qualifications and limitations contained in this Valuation Report, including the Third Party Disclaimer and Lender's Customer Disclaimer.



ASSUMPTIONS, CONDITIONS AND LIMITATIONS

Critical Assumptions

- This valuation report is provided subject to the assumptions, disclaimers, limitations and qualifications detailed within this report. Reliance on this report and extension of our liability is conditional upon the reader's acknowledgement and understanding of these statements.
- The property has been identified by cadastral mapping and the improvements appear to be within site boundaries. Please be advised that with regard to rural properties, it is often the case that encroachment of fencing occurs either way. It is however, not always practical to verify the status of boundaries due to the sheer size and scale of the properties and in most instances the impact on productivity, marketability or value is insignificant.
- The Valuer advises that the land classification as assessed in this report is derived from various forms of mapping, site inspection and verbal advice. The assessed land classification is at best an estimate and an accurate determination of land type/use can only be obtained by a site survey.
- All water entitlements referred to in this report are utilised on the subject property and form part of the overall assessment, notwithstanding that they are the personal property of the licensee and are not part of the real property.
- The water entitlements referred to in this report are unencumbered and will continue to be renewed on the same terms and conditions as the existing water entitlements.
- That production records supplied are accurate.
- That a reasonable industry average kernel recovery is being produced.
- That orchard details are accurate.

Financier Recommendations

- The subject property is considered to offer suitable security for first mortgage purposes.
- The Lender should satisfy itself, on legal advice, as to the adequacy of the security arrangements offered in respect of the water entitlements. In the event that such water licences are not available, have changed or do not form part of the security available, together with the real property, to be realised in a default situation, the value of the real property may be seriously and detrimentally affected.
- In the event that the lender is not satisfied with the security arrangements offered in respect of the water entitlements, the Valuer should be requested to provide a valuation of the real property on a stand alone basis.
- The water entitlements utilised on the subject property are an integral part of its on going market value. Any change in the water entitlements or licences referred to in this report will result in a potentially significant increase or decrease in the market value of the combined property/water entitlements. If water entitlements referred to in this report change this valuation should be referred to the Valuer for review.

Lender Specific Requirements

- This valuation has been prepared in accordance with NAB's Valuation Instructions and can be relied upon by National Australia Bank Limited ABN 12 004 044 937 for mortgage security purposes.
- All investigations have been conducted independently and without influence from a third party in any way.
- The valuer/firm (in addition to the principal valuer) has no Potential Conflict of Interest or Pecuniary Interest (real or perceived) relating to the subject property.



RISK PROFILE

Asset

- Located in a rural farming and lifestyle area 26 km north of Lismore which provides a full range of services.
- Soils on the property are considered good quality red basalt soils, slightly acidic, but are suitable for macadamia nut trees, and improved with applications of lime.
- This orchard does have some shading problems that cause yield reductions in some macadamia orchards. Shading can be overcome by selective limb removal or entire row removal.
- Average industry yields anecdotally are considered to be 3 tonnes per ha NIS @ 33% kernel recovery & 10% moisture. This farm over the last 3 years has not reached that level of production.
- The lender should, if concerned, obtain specific horticultural advice on the orchard in respect to productivity.
- The subject property is partly impacted by LEP Drinking Water Catchment mapping. Farming may become more 'prescriptive' in these locations.
- Larger than normal macadamia farm for this locality.
- Rain fed orchard, the subject property is quite elevated and may receive higher rainfall than lower altitude farms at Dunoon.
- The water licences and the elevation are attractive features, particularly for alternate uses.
- Dwelling entitlement searches at Council would be required to determine the dwelling entitlement status of Lot 2 DP 555501 and 3 DP632934.

Overall Risk: Medium-High

Market

- Very limited listings of macadamia farms for sale and strong demand.
- Yields in the NSW macadamia industry had been below average from 2010 to 2013 due to adverse weather events i.e. storms and wind, overcast days, and possibly insect control and crop nutrition. The increase in the commodity price has resulted in improved management and production yields.
- Macadamia prices have firmed to \$5.40/kg NIS @ 10% moisture and 33% saleable kernel recovery which is a significant increase from the low of \$1.50/kg in 2007.
- The increase in the macadamia commodity price is partly attributed to strong Chinese demand. There are anecdotal reports of increased plantings in China, Vietnam and South Africa. It is beyond the scope of this report to determine the effect on the commodity price from increased world supply of macadamias. The China and Australia Free Trade Agreement (ChAFTA) has progressively reduced tariffs on macadamias since 2015. We understand as of 1 January 2019 the final 10% tariff has been eliminated.
- In 2019 the market for macadamia farms has firmed with good quality farms selling in a range up to and over \$100,000/ ha for mature orchard on the popular Alstonville plateau to the east. The Dunoon area typically has a lower value range per ha of mature orchard; the range is broadly \$40,000 - \$75,000/ha.
- Rural property values can fluctuate significantly depending on the relevant commodity price. This is a strong rural lifestyle locality, despite this if the commodity price drops and interest rates increase combined with a run of adverse seasonal conditions the market may become more volatile. The macadamia nut tree farm market has experienced notable increases in activity and price levels over recent times. We consider this strong market sentiment is being largely fuelled by the prevailing low interest rate environment and the strong commodity price. To this end, we caution that any uplift in interest rates and/or drop in the commodity price will likely reduce buyer demand (and potentially debt serviceability), which has historically corresponded to a reduction in value levels.



We recommend this inherent market risk be considered in any lending decisions concerning the subject property.

- The subject property has been valued for NAB as part of a four property aggregation at Dunoon. These are larger than average size farms for the locality. If put to the market at the same time it is considered that corporate/institutional size purchasers would be the most likely buyer profile at this value level. A recent sale of a 644 ha macadamia orchard at Bundaberg demonstrates interest by this buyer profile in the macadamia industry.
- The rain fed orchard and relatively reliable NSW North Coast rainfall may be attractive in the context of the drought in other locations in Australia.

Overall Risk: Medium-High

Environmental

- Macadamia farming involves spraying of trees from time to time. Spraying of trees can cause concerns in the community.
- Segastus weevil, lace bug and other pests, fungus etc. can reduce yields and need to be managed effectively, typically with sprays.
- Adverse weather events and seasons can reduce yields.
- Bushfire. Parts of the land are identified as a bushfire risk.
- Water catchment management requirements will likely impact on macadamia farm's cultural practices such as fertiliser and spray programs in the future.
- The property has an above average level of green timber and would be considered susceptible to bushfires. Significant parts of the land are mapped for bushfire risk.

Overall Risk: Medium



PROPERTY DESCRIPTION

LOCATION

Location The subject property is located 26 km north of Lismore and 4 km north of the village of Dunoon

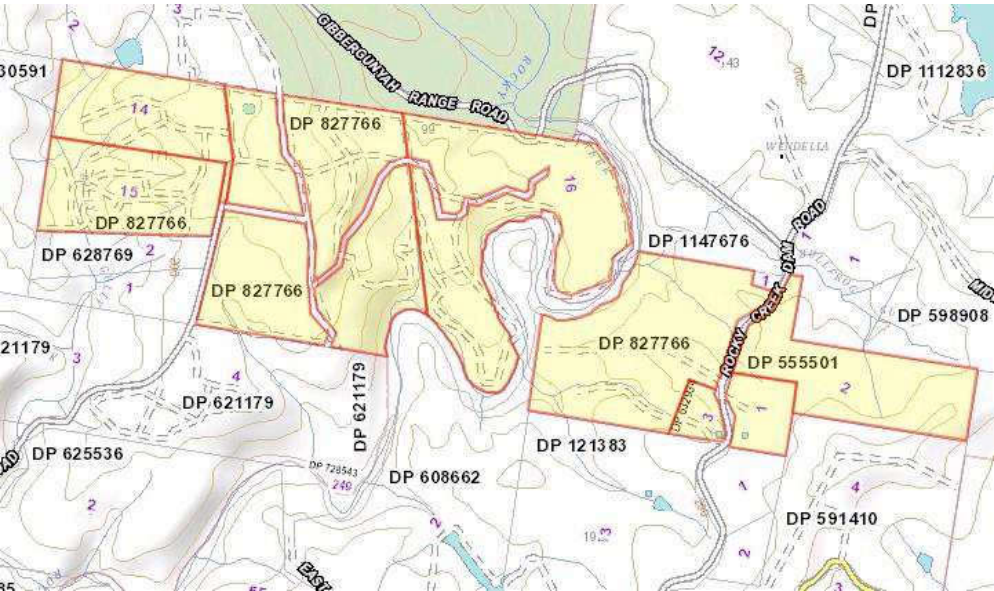
We have identified the property from the cadastral map attached and our site inspection.

Location Map



Source: Google Maps

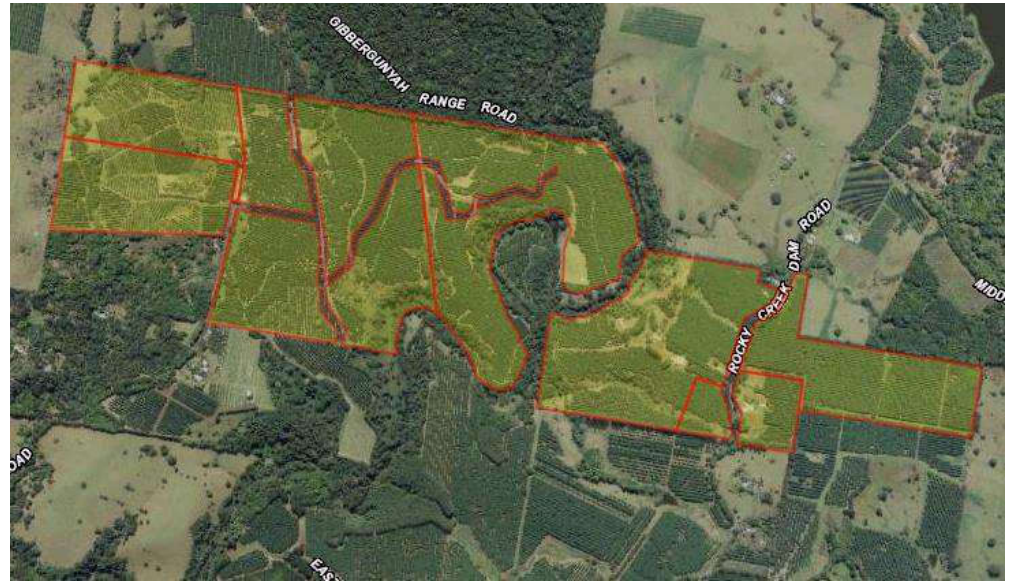
Cadastral Map



Source: Six Maps



Aerial Photo



Source: Six Maps

Surrounding Land Use

This is a rural lifestyle, rural grazing, horticulture area with varying quality property surrounding. Positive features include sealed road frontage and all weather access.



THE LAND

Road System and Access Rocky Creek Dam Road is a sealed typical country road. Access to the property is easy and direct. Access is also available from Leeson's Road a gravel road.

Services Creek water, tank water, single phase power, 3-phase electricity and septic system are connected to the property. Mobile coverage is available.

Property Characteristics The property comprises 138.94 ha.

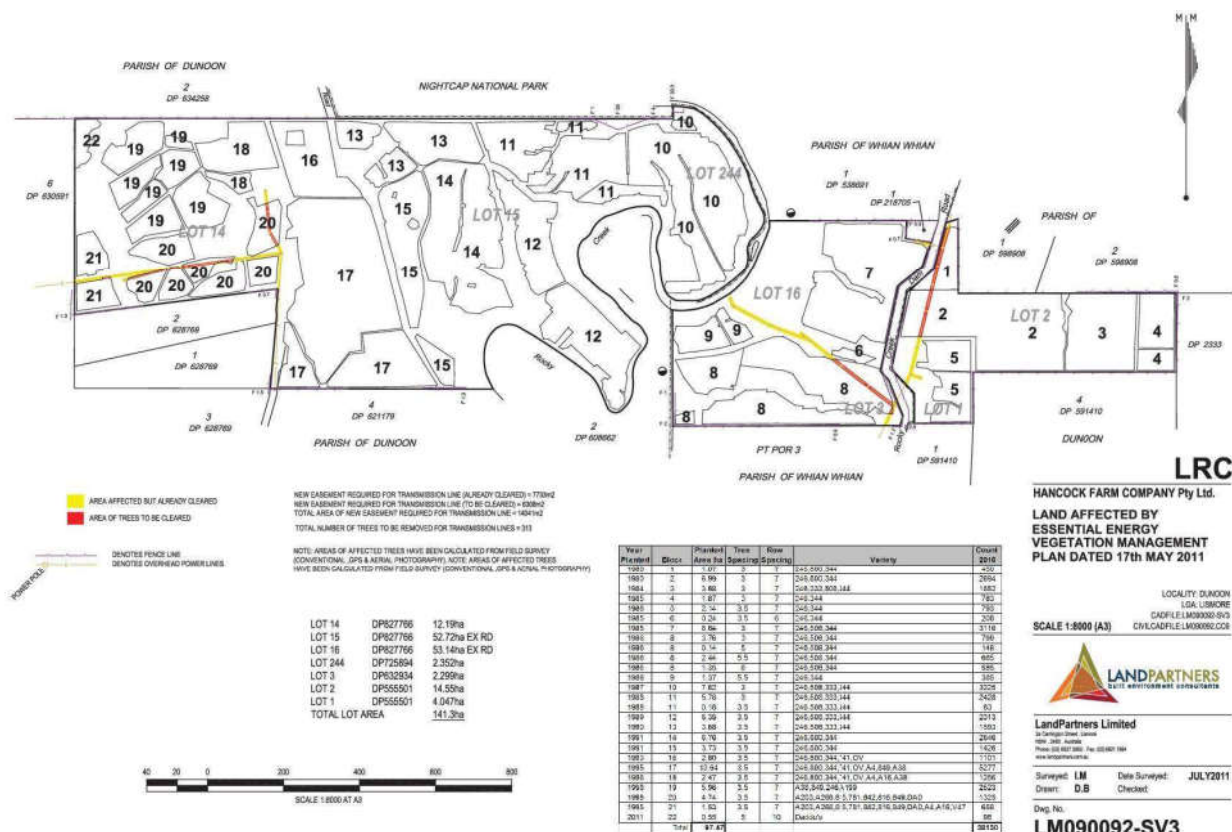
Topography	Broken timbered Rocky Creek and Billy's Gully Creek frontage rising from below the 160 metre contour interval (Source: Dunoon Topographic Map NSW Department of Lands) to undulating slopes to steep ridge above the 250 metre contour interval. Bisected by Rocky Creek Dam Road, Leeson's Road, Rocky Creek and Billy's Gully Creek. Elevated and steep land.
Soil	Red basalt typical for macadamias. Soil test results provided indicated pH in the range of 4.9 to 5.4 which is more acidic than the preferred 6.5. Aluminium levels are on the high side and the owners are implementing a lime program to address this issue.
Development	Developed as a macadamia orchard. Macadamia trees are 27 – 39 years old. It is predominantly planted on tight 7 x 3.5 metre row spacings. The LRC Map supplied by the owner and included in this report has been adopted for orchard areas in this valuation. We have checked orchard areas with the EAC Red Square Mapping tool and the areas are broadly confirmed, our calculations indicating there may be slightly more orchard area and higher tree numbers. Refer Annexures for a Property Plan and Orchard table. The owner-supplied mature orchard area and tree numbers have been adopted.
Vegetation	Native vegetation on creek lines and steep slopes.
Grasses and Pasture	Limited grass in the tree inter rows. There is evidence of root exposure. The owners are considering selective limb removal to promote light and minor landforming to promote more soil around the base of trees and develop drainage lines in the middle of the inter row to reduce erosion around tree roots.
Weeds	Lantana and other weeds in the steep areas. Inspection of these areas was not practical.
Fertiliser History	Normal fertiliser programme undertaken for the macadamia orchard.



Country Classification

A break up of the country development is as follows:

Classification	Development	Area (ha)	%
Red Basalt	Macadamia planted land and macadamia trees	97.47	70.15
Red Basalt	Balance area	41.47	29.85
Total		138.94	100.00



Irrigation

This is a rain fed orchard. There are pump sheds to ump from the creeks provide water for spray purposes.

Fencing

The property is not completely fenced, and some fencing is poor. There are no livestock run on the property.



Rainfall

The Bureau of Meteorology rainfall mapping indicates that the property is located within an area with an annual rainfall range of between about 933 mm and 2196 mm for the past 10 years. The mean 'average' rainfall is 1,429.3 mm. We note that given the elevation of LRC the rainfall may be higher at the subject property.

The nearest Bureau of Meteorology rainfall monitoring station is located at Corndale, approximately 6 km from the subject property. The below graph illustrates the annual rainfall for this locality.

Station: Corndale (Coopers Creek)					Number: 58206		Opened: 1991		Now: Open						Details
					Lat: 28.72° S		Lon: 153.36° E		Elevation: 25 m						
Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual		
2009	148.0	207.0	252.0	241.0	388.0	154.0	31.0	2.0	17.0	140.0	107.0	151.0	1838.0		
2010	108.0	277.0	178.0	80.0	73.0	157.0	63.0	31.0	108.0	321.0	126.0	252.0	1774.0		
2011	232.0	38.0	126.0	264.0	62.0	101.0	34.0	165.0	18.0	104.0	115.0	186.0	1445.0		
2012	334.0	172.0	123.0	175.0	69.0	300.0	41.0	4.0	8.0	33.0	97.0				
2013	417.0	371.0	173.0	157.0	87.0	86.0	152.0	1.0	38.0	54.0	124.0	30.0	1690.0		
2014	52.0	25.0	200.0	58.0	45.0	40.0	11.0	259.0	16.0	9.0	64.0	154.0	933.0		
2015	123.0	260.0	78.0	106.0	205.0	54.0	52.0	27.0	75.0	33.0	115.0	43.0	1171.0		
2016		38.0			15.0	299.0	4.0	192.0		2.0	71.0	96.0			
2017	335.0	75.0	747.0	69.0	94.0	318.0	8.0	1.0	0.0	214.0	159.0	176.0	2196.0		
2018	120.0	204.0	199.0	104.0	33.0	42.0	25.0	42.0	79.0	225.0	76.0	34.0	1183.0		
2019	0.0			139.0	70.0	206.0	49.0	13.0							
Summary statistics for all years														Information about climate statistics	
Statistic	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Annual		
Mean	200.2	172.4	193.6	129.3	90.4	139.8	45.3	63.5	45.2	96.0	113.6	121.1	1429.3		
Lowest	0.0	25.0	39.0	47.0	15.0	9.0	1.0	1.0	0.0	2.0	31.0	30.0	841.0		
5th %ile	10.2	32.7	50.2	56.3	18.6	11.7	3.7	1.0	4.8	7.1	59.0	33.4	910.0		
10th %ile	38.6	36.8	68.0	60.1	25.4	34.4	7.2	1.8	7.2	8.7	68.9	35.4	999.0		
Median	135.5	188.0	173.0	106.0	70.0	107.0	34.0	27.0	28.0	79.0	119.0	132.0	1387.0		
90th %ile	427.8	305.2	276.6	241.0	182.6	303.6	97.2	172.8	102.0	217.3	161.7	194.4	1880.5		
95th %ile	488.2	380.3	391.8	244.4	223.3	324.1	139.4	198.7	109.6	239.4	168.8	219.7	1991.2		
Highest	688.0	433.0	747.0	264.0	388.0	379.0	152.0	259.0	116.0	321.0	173.0	252.0	2196.0		

The property is subject to dry conditions at present.

Highest and Best Use

We consider the current use as a horticulture property to be consistent with the highest and best use of the land at this time.

The yields on LRC the subject property are fair by industry standards at 2.2 tonnes per ha. Most growers aim for 3 tonnes per ha NIS @ 10 % moisture, but we have not observed that many that have exceeded 3 tonnes per ha as an average over a period of time. There have been no kernel recovery data supplied, but a reasonable industry average kernel recovery is being produced is assumed for this valuation. We understand that the crop is almost all exported directly to China for processing. Kernel recovery is very important for the final per kg price paid. The valuation assumes yields provided are accurate.

Production	LMR			LDR1			LDR2			LRC		
	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree	Tonnes NIS @ 10 % moisture	Tonnes/ ha	Kg/tree
2016	187.50	2.25	5.64	176.00	1.82	10.03	193.20	1.70	9.50	233.30	2.39	6.12
2017	153.80	1.85	4.62	142.90	1.48	8.14	158.60	1.40	7.80	210.30	2.16	5.52
2018	138.80	1.67	4.17	181.10	1.87	10.32	196.90	1.74	9.68	199.20	2.04	5.22
Average	160.03	1.92	4.81	166.67	1.72	9.50	182.90	1.61	8.99	214.27	2.20	5.62
Aggregation												
2016	790.00	2.02	7.23									
2017	665.60	1.70	6.09									
2018	716.00	1.83	6.55									

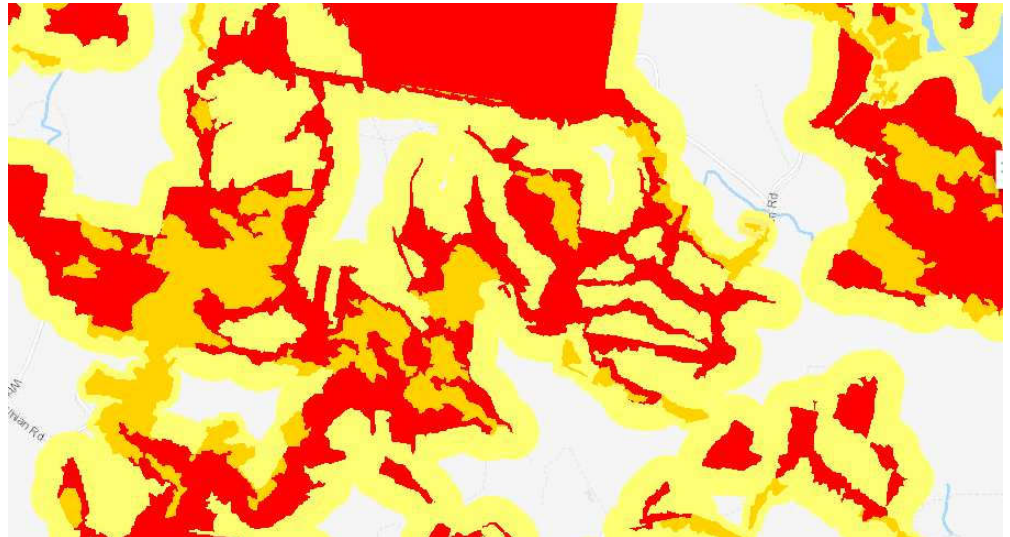


ENVIRONMENTAL STATEMENT

Site Issues	Any indication of previous noxious or potentially contaminating use?	No
	Subject to an environmental planning overlay that could constrain land use and development?	Yes, Drinking water catchment and Bushfire
	Adjoining land subject to an overlay that indicates adjoining land could be contaminated?	No
	Based on visual inspection to the extent that it is reasonably possible, are there adjoining sites that appear to or are known to have or have had noxious or potentially contaminating uses?	No
	Based on visual inspection and/or public record and to the extent that it is reasonably possible, is any known water (including ground and subsurface) contaminated in the surrounding land?	No
	Identified industrial processes onsite that involve the use of chemicals or hazardous materials?	No
	Identified past or present underground storage of fuels, chemicals or hazardous materials at the property?	No
	Included in the current register of contaminated sites?	No
	Do operations require environmental licensing, resource consent or equivalent?	No
	Site contamination evident?	No
	Environmental Register Searched?	Yes
	The current use of the property for rural uses may involve the storage of quantities of fuel and/or farm chemicals and/or spraying of pesticides/herbicides. The existence of such products on site may require the property to be registered on the Environmental Management Register. Whilst our visual site inspection did not indicate any existing or historic use of the site (so far as it is reasonably identifiable) for any hazardous or potentially contaminating processes or for the storage (either above or below ground) of any hazardous chemical substance, we are not environmental experts. Therefore we are unable to certify and confirm that there is no contamination of the property either beneath or above the surface of the soil or elsewhere which might affect value. We note that the subject property is subject to an Environmental Planning Overlay Drinking Water Catchment (all of the property) and Bushfire (parts see mapping below). The overlay is not considered to have a material impact on the value of the subject property at present but as noted farming is expected to become more 'prescriptive' in these locations.	



Bushfire Map (Source NSW Planning Portal).



Whilst the Valuer did not note any obvious hazardous or toxic material on site, it should be noted that the valuation has been prepared without the benefit of a soil test or environmental studies of any sort. Accordingly, the valuation is subject to there being no surface or sub-surface soil problems including instability, toxic or hazardous wastes or building material hazards in or on the property that would adversely affect its existing or potential use or reduce its marketability.

Refer to annexures for Contaminated Land/Environmental Management Registers search dated 3 September 2019. The subject property is not indicated as contaminated on this search.

**Vegetation
Management
Status**

We have valued the subject property on the basis that all relevant government approvals have been attained in relation to the property in particular to the development of the cultivation areas.



IMPROVEMENTS

Main Residence Dwelling Lot 16 DP827766

(inspection of this dwelling was not possible and was notified to Lismore NAB agribusiness after inspection of the property).



Built About 1985.

Construction	Foundations:	Concrete slab
	Floor:	Concrete
	External Walls:	Brick
	Internal Walls:	Plasterboard
	Ceilings:	Plasterboard
	Windows:	Aluminium
	Roof:	Colorbond

Floor Area	Component	Square Metres
(approximate)	Living	228
	Outdoor	94
	Car	85
	Total	407

Floor Plan 4 bedrooms, 2 bathrooms, separate toilet, kitchen, laundry and lounge/dining.

Fittings Understood to be - The residence generally has dated PC items of average quality in fair condition. KITCHEN: kitchen/meals, double bowl sink, post form laminated cupboards, dishwasher, electric upright stove. ENSUITE: shower, single vanity unit, toilet. BATHROOM: original bathroom with bath, shower, single vanity unit. SEPARATE TOILET. LAUNDRY: laundry tub.

Features HOT WATER SYSTEM: electric. FLOOR AND WALL COVERINGS: tiles. OTHER: Includes built-in robes and walk-in robe.

Condition/Repairs The building appeared to be in fair condition and no major defects were noted at the time of inspection. Internal paintwork is reported to be in fair condition and external paintwork is in fair condition. Valuers are not building and/or structural engineering experts and as such are unable to advise or comment upon the structural integrity or soundness in the improvements.

Car Space 2 car attached carport.

Ancillary Improvements Septic tank.



Dwelling 2

Cottage Lot 14 DP 827766

(inspection of this dwelling was not possible and was notified to Lismore NAB agribusiness after inspection of the property).



Built About 1935.

Construction

Foundations:	Not visible
Floor:	Timber
External Walls:	Timber
Internal Walls:	Timber
Ceilings:	Timber
Windows:	Aluminium, Timber
Roof:	Corrugated galvanised iron

Floor Area	Component	Square Metres
(approximate)	Living	187
	Outdoor	95
	Car	45
	Total	327

Floor Plan 3 bedrooms, 1 bathroom, kitchen, lounge/dining, laundry.

Fittings Understood to be - The residence generally has dated PC items of average quality in fair condition. KITCHEN: kitchen/meals, double bowl sink, post form laminated cupboards, electric upright stove. BATHROOM: bath, shower, single vanity unit. SEPARATE TOILET. LAUNDRY: laundry tub.

Condition/Repairs Dwelling 2 appeared to be in fair condition and no major defects were noted at the time of inspection. Internal paintwork is reported to be in fair condition and external paintwork is in fair condition.

Valuers are not building and/or structural engineering experts and as such are unable to advise or comment upon the structural integrity or soundness in the improvements.

Car Space 2 car attached carport.



Dwelling 3

Dwelling 3 - Lot 1 DP 555501

(inspection of this dwelling was not possible and was notified to Lismore NAB agribusiness after inspection of the property).



Built About 1960.

Construction

Foundations:	Not visible
Floor:	Timber
External Walls:	Timber
Internal Walls:	Fibrous cement
Ceilings:	Fibrous cement
Windows:	Aluminium, Timber
Roof:	Corrugated galvanised iron

Floor Area (approximate)	Component	Square Metres
	Living	140
	Outdoor	2
	Car	18
	Total	160

Floor Plan 4 bedroom, 1 bathroom, kitchen/living.

Fittings Understood to be – KITCHEN: Sink, electric stove. BATHROOM: original bathroom with shower, single vanity unit, toilet. LAUNDRY: Tub. FLOOR COVERINGS: tiles.

Condition/Repairs Dwelling 3 appeared to be in fair condition and no major defects were noted at the time of inspection. Internal paintwork is reported to be in fair condition and external paintwork is in fair condition.

Valuers are not building and/or structural engineering experts and as such are unable to advise or comment upon the structural integrity or soundness in the improvements.

Car Space 1 car attached carport.



Dwelling 4

Dwelling 4 - Lot 1 DP 555501

(inspection of this dwelling was not possible and was notified to Lismore NAB agribusiness after inspection of the property).



Built About 1960

Construction

Foundations:	Concrete footings & slab
Floor:	Concrete
External Walls:	Timber
Internal Walls:	Not known
Ceilings:	Not known
Windows:	Aluminium
Roof:	Corrugated galvanised iron

Floor Area	Component	Square Metres
(approximate)	Living	80
	Outdoor	55
	Total	135

Floor Plan Not known

Fittings Not known

Condition/Repairs Dwelling 4 appeared to be in fair condition and no major defects were noted at the time of inspection. Internal paintwork is reported to be in fair condition and external paintwork is in fair condition.

Valuers are not building and/or structural engineering experts and as such are unable to advise or comment upon the structural integrity or soundness in the improvements.



Other Improvements



Machinery shed



Pump shed



Tanks on ridge Lot 15

Building	Area	Unit	Floor	Frame	Cladding	Roof	Cond.
Machinery shed including electricity connected, water connected and toilet	627	sqm	Concrete	Steel, Timber, Round timber	Metal cladding, Brick/masonry cladding	Metal	Fair
Machinery shed	374	sqm	Earth	Steel	Nil	Metal	Fair
Pump shed including electricity connected and grundfos cr16-70 pump	9	sqm	Earth	Timber	Metal cladding	Metal	Fair
Pump shed	6	sqm	Concrete	Timber	Metal cladding	Metal	Fair
Tanks on ridge 3 x 22,500 litre poly							

Asbestos Materials

Could any buildings or improvements at the property predate 2004?

Yes

Is asbestos containing material known to be present?

Not aware

Asbestos register/record available?

No

Inspection of the cottages was not possible, we are not certain in respect to asbestos.

The presence of asbestos, change in community attitudes and the cost associated with dealing with its removal has the potential to reduce marketability and value of the property. The extent of this cannot be known.

Compliance of Building Materials

We have not obtained a compliance certificate in relation to the building materials. This valuation report has been prepared with the assumption that the building materials used, as well as the application and installation of those materials, are compliant with the building design as well as Australia's regulatory requirements and codes.



PROPERTY MARKET OVERVIEW

Property Market Overview

The 2019 harvest price is \$5.40/kg at 33% saleable kernel recovery at 10% Moisture Content. This is an increase from the 2016 - 2018 harvest season prices were broadly \$5.20/kg for premium and commercial grade plus bonuses that were paid by some processors in 2018, MPC being the most prominent. The 2015 pricing was \$4.40/kg, 2014 \$3.50/kg and 2013 pricing \$3.00/kg for similar specifications. Increased Chinese demand is believed to have contributed to this price increase. There has been increased interest in purchasing macadamia farms as a result and firming in macadamia land value levels. It should be noted that prices were as low as about \$1.50/kg NIS in 2007. Anecdotal reports indicate substantial plantings have been undertaken in China and South Africa. It is beyond the scope of this report to predict future pricing.

The lender should note that relatively low interest rates and strong commodity prices are underpinning values at present. Despite this there are very few macadamia farms listed for sale in the Ballina, Lismore & Byron Shires which are the traditional macadamia growing areas on the NSW North Coast. Internet searches reveal very few macadamia farms listed for sale on the NSW Far North Coast. Supply of properties is tight and demand appears to be strong for macadamia farms. During 2017 & 2018 good quality farms on the Alstonville plateau to the east were selling broadly up to \$85,000/ha of mature orchard. In 2019 this has firmed to over \$100,000/ha of mature orchard for better quality farms on the Alstonville plateau. The Dunoon location has indicated lower value levels for macadamia farms. This is because the superior lifestyle attributes and more coastal location of the Alstonville plateau, typically older macadamia farms at Dunoon and consequent typical closer row spacing's and lower productivity. Mature orchard values have been in the range of \$36,400 - \$75,480/ha in the Dunoon area.

Sales of macadamia farms above \$5,000,000 in value are limited locally. A dated sale was at 665 Newrybar Swamp Road, Newrybar. It sold for \$7,500,000 in June 2015 and comprised 124.53 ha with 94.62ha of macadamia orchard (22,924 trees). This sale indicated \$71,335/mature orchard ha. Production in 2014 was stated to be 242 tonnes NIS (about 2.5 tonnes/ha NIS). Sale 8 in this report, 100A Lindendale Road, Lindendale sold previously in May 2014 for \$1,450,000 (dwelling and pool constructed post this sale). In 2014 this sale indicated an analysed mature orchard value of \$37,121/ha. Five years later in May 2019 it is \$72,597/ha, an increase of \$35,476/ha.

A recent sale north of Bundaberg is a 1,018.53 ha property which has 644 ha of irrigated macadamia orchard. This orchard has old trees planted around 1986. Row spacings were 6 x 3.5 m but has been mostly converted to 12 x 3.5 m spacing's. Details of the sale are confidential but have been considered to determine this valuation.

Alternate Use

The North Coast has strong lifestyle attributes. Macadamia farms typically are located in sought after lifestyle locations. The Dunoon area is less sought after than the Alstonville plateau but despite this Dunoon is located in relative close proximity to Lismore which has a population of over 27,000 people (at 2016 Census).

The subject property is relatively large and would have some attractions for subdivision. Alternative agricultural pursuits would include avocados or blueberries in particular, or bananas (Sale 10 in this report was purchased for bananas). We note that we have no frost advice and this can be critical for these alternative crops, but the subject property is elevated and it is considered unlikely for the higher parts to frost. As the subject property macadamia trees have not been significantly adversely affected by frost as far as we are aware then frost is assumed to be not a significantly limiting issue on an alternate use basis.



VALUATION CONSIDERATIONS

MARKET EVIDENCE

Water Market Comments

Water historically is seldom traded on the NSW North Coast, however in more recent times there has been more trading.

Properties sold that have a water licence typically do not always separately apportion the value in a 'negotiation' sense. The water licence is usually sold with the land as one negotiated lump sum. The NSW North Coast river & creek licences are almost all unregulated (no major storage dams) and pumping restrictions can occur when the water is most needed for the river licences. Trades between Water Sources are very restricted. It appears that the subject water licence can only be sold, subject to assessment, in the Bangalow Area, Wyrallah and Coraki Water Sources.

Sales of unregulated river licences on the NSW North Coast in recent times include:-

In the Terania Creek Water Source - Nimbin area - \$2,000/megalitre for 77 megalitres for avocados and \$1,500/megalitre for 30 megalitres for pasture/cropping.

Alstonville - \$1,470/megalitre for 34 megalitres.

Clarence River - \$800 & \$1,250/megalitre for 110 & 205 megalitres respectively, both purchased by for high value permanent blueberry plantings. Some smaller trades in the Clarence River catchment of \$825/megalitre for 7 megalitres and \$800/megalitre for 14 megalitres in cropping/livestock locations.

For valuation purposes a value for a licence of this size is adopted at \$1,750/megalitre based on Terania Creek Water Source sales. Depending on marketing conditions and how the water licences are marketed at sale, a value of over \$1,750/megalitre may be possible, particularly if sold in smaller parts, as noted by the sale at Nimbin for \$2,000/megalitre.

Enquiries with selling agents indicate some demand currently locally for water licences following the very dry 2019 summer and the current dry conditions.



Sales Evidence

The most relevant sales identified in the area include:

‘Dunoon’ Sales

1. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
548 Dorrroughby Rd, Dorrroughby NSW 2480	28/05/18	\$725,000	15.95	\$5,000	\$45,455	\$45,141
Land Description:	Good quality red basalt soils planted to 14.3 ha of macadamia nut trees (about 5,000 trees) on 7 x 4 m spacings. Producing about 40 tonnes of macadamias. Has a dwelling entitlement. High voltage powerlines over south-eastern corner.					
Improvements:	Shipping container and tank.					
Comments:	Purchase price					
	Less					
	Equipment					
	Improvements					
					\$5,000	\$5,000
						\$720,000
				Ha	\$/ha	
				1.62	\$20,000	\$32,400
				14.30	\$48,084	\$687,600
				15.95		
	Apportionment of tree value					
	Planted land & trees					
	Less					
	Land value ex. trees allow					
				14.3	\$35,000	\$500,500
				5,000	\$37.42	\$187,100
Comparison:	This sale is located nearby to the east. It was impacted negatively by the power lines and close row spacing's. The market has strengthened since this sale.					

2. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
Dunoon Rd, Dunoon NSW 2480	25/07/18	\$1,000,000	21.28	\$0	\$46,992	\$46,992
Land Description:	Irregular shaped land bisected by powerlines but not connected. Town water. Undulating to sloping land falling below road. Located about 2 km north of Dunoon. Red basalt soil planted to about 12 ha of macadamia nut trees (about 2,300 trees at least 30 year old - 246, H2). About 6 ha additional plantable land. Stated to be over 30 tonnes per annum production (over 2.6 tonnes/ha).					
Improvements:	Vacant land. Purchased by neighbour.					
Comments:	Purchase price					
						\$1,000,000
				Ha	\$/ha	
				3.78	\$10,000	\$37,800
				6.00	\$40,000	\$240,000
				11.50	\$62,800	\$722,200
				21.28		
	Apportionment of tree value					
	Planted land & trees					
	Less					
	Land value ex. trees allow					
				11.50	\$40,000	\$460,000
				2,300	\$114	\$262,200
Comparison:	Nearby property lacks any significant structural improvements. Adjoining owner purchaser. Subject superior overall.					



3. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
350 Dorroughby Rd, Dorroughby NSW 2480	18/04/19	\$1,000,000	39.52	\$200,000	\$25,304	\$20,243
Land Description:	Red basalt land planted to about 15 ha of macadamia trees. There are about 4,000 macadamia trees. Orchard is rundown and shaded. Heavily timbered balance land with steep slopes to creeks.					
Improvements:	Brick & tile dwelling, shed & silos					
Comments:	Purchase price					\$1,000,000
	Less					
	Improvements					<u>\$200,000</u>
						\$800,000
				Ha	\$/ha	
	Non plantable land		24.52		\$7,500	<u>\$183,900</u>
	Mature macadamia orchard		<u>15.00</u>		\$41,073	\$616,100
			39.52			
	Apportionment of tree value					
	Mature macadamia orchard					\$616,100
	Less					
	Land value incl water ex. trees allow		15		\$35,000	<u>\$525,000</u>
	Trees		4,000		\$22.78	\$91,100
Comparison:	This sale was impacted negatively by close row spacings and low production.					

4. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
'Kirkwood', 152 Missingham Rd, Dunoon NSW 2480	21/05/19	\$1,350,000	39.05	\$150,000	\$34,571	\$30,730
Land Description:	Red basalt soils planted to 26.7 ha of macadamia nut trees (4,800), Varieties include 246, 741, H2, A4 and Greber hybrids. Spacings 10 x 5 metres. Historically has been about a 43 tonne/annum NIS orchard but this dropped to about 30 tonnes in 2019 (1.6 tonnes/ha). This is one of the older orchards with tree ages believed to be 29 - 47 years old. Large dam and 143 megalitre water licence.					
Improvements:	Basic 4 bedroom dwelling, machinery shed, processing shed, silo, pump shed. Some plant & equipment 'thrown in'.					
Comments:	Purchase price					\$1,350,000
	Less		Megalitres	\$/megalitre		
	Water Licence		143	\$800	\$114,400	
	Improvements				<u>\$150,000</u>	<u>\$264,400</u>
						\$1,085,600
			Ha	\$/ha		
	Non plantable land		12.35	\$10,000		<u>\$123,500</u>
	Mature macadamia orchard		<u>26.70</u>	\$36,034		\$962,100
			39.05			
	Apportionment of tree value					
	Mature macadamia orchard					\$962,100
	Less					
	Land value incl water ex. trees allow		26.7	\$35,000		<u>\$934,500</u>
	Trees		4,800	\$5.75		\$27,600
Comparison:	This sale is located nearby to the east. It was impacted negatively by low production, maintenance required and we understand an anxious sale.					



5. Address	Sale Date	Sale Price	Area (ha)	Improvements & plant Value	Land Value/ha																																																																																																			
					Improved	Ex-Structures																																																																																																		
206 Repentance Creek Rd, Rosebank NSW 2480	18/09/18	\$2,035,000	50.97	\$475,000	\$37,473	\$30,606																																																																																																		
Land Description:	The property comprises an above average size allotment in a well sought after rural lifestyle locality. The land is an undulating to moderately sloping rural holding which is developed into a macadamia plantation comprising approximately 4,064 macadamia trees (predominately mature) over a land area of approximately 16 ha. The balance land of approximately 35 ha is predominately-timbered gullies and steeper land except a small area of cleared grazing land and land immediately adjacent to the residence and work sheds. Macadamia trees are A4, A16, A38, 660, 246 (about 50 %), 741 & 816. Spacings 8 x 4, 7 x 7, & 10 x 4 m. Very well maintained farm. Average production last 4 years about 55 tonnes NIS @ 10 % moisture (3.43 tonnes/per ha) and about 34 % kernel recovery.																																																																																																							
Improvements:	The property includes an attractively renovated 3 bedroom log cabin home with 2 bathrooms double garage large outdoor living areas, inground pool, unapproved studio and two work sheds. The property is well improved and presented.																																																																																																							
Comments:	<table> <tr> <td>Purchase price</td><td></td><td></td><td></td><td></td><td></td><td>\$2,035,000</td></tr> <tr> <td>Less</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Plant</td><td></td><td></td><td></td><td></td><td></td><td>\$125,000</td></tr> <tr> <td>Improvements</td><td></td><td></td><td></td><td></td><td></td><td><u>\$350,000</u></td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td>\$1,560,000</td></tr> <tr> <td></td><td></td><td></td><td></td><td>Ha</td><td>\$/ha</td><td></td></tr> <tr> <td>Non planted land</td><td></td><td></td><td>34.93</td><td></td><td>\$10,000</td><td><u>\$349,300</u></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td>16.04</td><td></td><td>\$75,480</td><td>\$1,210,700</td></tr> <tr> <td></td><td></td><td></td><td><u>50.97</u></td><td></td><td></td><td></td></tr> <tr> <td>Apportionment of tree value</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Mature macadamia orchard</td><td></td><td></td><td></td><td></td><td></td><td>\$1,210,700</td></tr> <tr> <td>Less</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>Land value ex. trees allow</td><td></td><td></td><td>16.04</td><td></td><td>\$45,000</td><td><u>\$721,800</u></td></tr> <tr> <td>Trees</td><td></td><td></td><td>4,064</td><td></td><td>\$120</td><td>\$488,900</td></tr> </table>						Purchase price						\$2,035,000	Less							Plant						\$125,000	Improvements						<u>\$350,000</u>							\$1,560,000					Ha	\$/ha		Non planted land			34.93		\$10,000	<u>\$349,300</u>	Mature macadamia orchard			16.04		\$75,480	\$1,210,700				<u>50.97</u>				Apportionment of tree value							Mature macadamia orchard						\$1,210,700	Less							Land value ex. trees allow			16.04		\$45,000	<u>\$721,800</u>	Trees			4,064		\$120	\$488,900
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Trees			4,064		\$120	\$488,900																																																																																																		
Comparison:	Very well presented farm. Good production but particularly steep in parts. Of note for water licences is that the purchaser acquired a ground water licence post purchase of 5 megalitres for \$2,000/megalitre to formalise the use of a bore.																																																																																																							



'Alstonville' Sales

6. Address	Sale Date	Sale Price	Area (ha)	Improvements & crop Value	Land Value/ha incl water	
					Improved	Ex-Structures
177 Humpty Back Rd, McLeans Ridges NSW 2480	24/01/19	\$3,950,000	53.39	\$445,000	\$67,428	\$65,649
Land Description:	Red basalt in 3 lots, each with a dwelling entitlement, planted to 36.5 ha of macadamia nut trees. There are about 7,700 trees that are mostly 27 years old. Spacings from 7.5 x 4 m to 9.5 x 5.5 m mostly. Varieties mostly 246, 344, 741 and some 849, 508, 660, A4 and A38. Production about up to 92 tonnes average per annum for the last 3 years which indicates to 2.5 tonnes per ha yield.. The orchard is a little run down, phytophthera, and had achieved superior production in 2014 and 2015. Water licence of 179 megalitres and a dam.					
Improvements:	Machinery shed, dehusking shed with 'workers accommodation', dehusking line and 4 silos, pump shed.					
Comments:	Purchase price					\$3,950,000
	Less		Megalitres	\$/megalitre		
	Water Licence		179	\$800	\$143,200	
	Crop				\$350,000	
	Improvements				<u>\$95,000</u>	<u>\$588,200</u>
						\$3,361,800
			Ha	\$/ha		
	Non planted land		16.89	\$30,000		<u>\$506,700</u>
	Mature macadamia orchard		<u>36.50</u>	\$78,222		\$2,855,100
			53.39			
	Apportionment of tree value					
	Mature macadamia orchard					\$2,855,100
	Less					
	Land value incl water ex. trees allow		36.5	\$50,000		<u>\$1,825,000</u>
	Trees		7,700	\$133.78		\$1,030,100
Comparison:	Similar production levels per ha. Much smaller orchard.					



7. Address	Sale Date	Sale Price	Area (ha)	Improvements, crop & plant Value	Land Value/ha ex. crop & plant	
					Improved	Ex-Structures
39 Grays La, Rous NSW 2477	21/02/19	\$4,000,000	38.24	\$800,000	\$95,449	\$83,375
Land Description:	Gently sloping red basalt soil planted to about 10,000 macadamia nut trees. About 6,500 are 246, 660 and 741 on 8 x 4 m spacings, about 3,500 trees A38, 816 & 849 on 8 x 5 m spacings. Planted area 33.5 ha. Production 95 - 141 tonnes per annum (2.84 - 4.2 tonnes per ha NIS @ 10 % moisture). Powerlines along northern boundary. 203 megalitre irrigation licence from a well in the Alstonville Basalt Plateau Groundwater Source.					
Improvements:	Brick veneer & colorbond roof 4 bedroom, 2 bathroom dwelling, machinery shed, dehusking equipment & silos, nursery shade house.					
Comments:	Purchase price					\$4,000,000
	Less		Megalitres	\$/megalitre		
	Water Licence		203	\$1,500	\$304,500	
	Crop				\$300,000	
	Plant				\$50,000	
	Improvements				\$450,000	<u>\$1,104,500</u>
						\$2,895,500
			Ha	\$/ha		
	Non planted land		4.74	\$30,000		\$142,200
	Planted land & trees		<u>33.50</u>	\$82,188		\$2,753,300
			38.24			
	Apportionment of tree value					
	Mature macadamia orchard					\$2,753,300
	Less					
	Land value ex. trees allow			33.5	\$50,000	\$1,675,000
	Trees			10,000	\$107.83	\$1,078,300
Comparison:	Superior location and productivity, but much smaller orchard.					



8. Address	Sale Date	Sale Price	Area (ha)	Improvements Value	Land Value/ha	
					Improved	Ex-Structures
100A Lindendale Road, Lindendale NSW 2480	20/05/19	\$3,000,000	43.43	\$500,000	\$69,077	\$57,563
Land Description:	Rain fed 43.43 ha parcel of good quality red basalt soil planted to 33 ha of macadamia nut trees. There are stated to be 9,310 trees approximately 18 – 24 year old trees comprising 246, 741, 816, 842, 849, A4, A16, A38 and varieties on spacings of about 7 x 5 & 8 x 4 metres. Production has been fair only we understand. Small creek frontage. Production was understood to be about 45 tonnes NIS.					
Improvements:	Structural improvements include a new good quality 4 bedroom, 2 bathroom dwelling, pool, dehusking shed/flat, delivery hopper shed, machinery shed, chemical shed, green house, water tanks and sundry small sheds.					
Comments:	This sale included some plant & equipment and crop which we believe is in a separate contract.					
	Purchase price					\$3,000,000
	Less					
	Improvements					<u>\$500,000</u>
						\$2,500,000
				Ha	\$/ha	
	Non plantable land			10.43	\$10,000	<u>\$104,300</u>
	Mature macadamia orchard			<u>33.00</u>	\$72,597	\$2,395,700
				43.43		
	Apportionment of tree value					
	Mature macadamia orchard					\$2,395,700
	Less					
	Land value ex. trees allow			33	\$40,000	<u>\$1,320,000</u>
	Trees			9,310	\$115.54	\$1,075,700
Comparison:	Superior location and improvements. In 2014 this property sold for an analysed mature orchard value of \$37,121/ha. Five years later in May 2019 it is \$72,597/ha.					

9. Address	Sale Date	Sale Price	Area (ha)	Improvements & Plant Value	Land Value/ha ex. plant	
					Improved	Ex-Structures
50 Weis La, Rous	08/07/2019	\$2,125,000	21.33 ha	\$375,000	\$98,452	\$82,044
Land Description:	Undulating red basalt soils planted to 18.45 ha of macadamia nut trees, about 5,000 trees 18 - 30 years old, varieties A4, A16, 246, 344, A38, row spacings about 9 x 4 m. Production in the last 2 years affected by hailstorms and other issues, but the prior 3 years were in the range of 35 - 46 tonne NIS @ 10 % moisture with kernel recoveries in the range of 34 - 37 %.					
Improvements:	Renovated timber & corrugated metal 3 bedroom dwelling, inground pool and machinery shed.					
Comments:	Purchase price					\$2,125,000
	Less					
	Plant				\$25,000	
	Improvements				<u>\$350,000</u>	<u>\$375,000</u>
						\$1,750,000
				Ha	\$/ha	
	Non plantable land			2.88	\$30,000	<u>\$86,400</u>
	Mature macadamia orchard			<u>18.45</u>	\$90,168	1,663,600
				21.33		
	Apportionment of tree value					
	Mature macadamia orchard					\$1,663,600
	Less					
	Land value ex. trees allow			18.45	\$50,000	<u>\$922,500</u>
	Trees			5,000	\$148.22	\$741,100
Comparison:	Superior location but much smaller orchard.					



Alternate Use Sales

10. Address	Sale Date	Sale Price	Area (ha)	Improvements, Value	Land Value/ha	
					Improved	Ex-Structures
122 Fraser Rd, Dunoon	06/02/2019	\$1,240,000	38.39	\$220,000	\$32,300	\$26,569
Land Description:	North facing sloping red basalt soils. Elevation over the 210 metre contour to the 160 metre contour for cleared land and then timbered land falls to below 120 metre contour. One dam, no water licence. Used for cattle grazing but purchaser to plant bananas (existing large grower in Tweed Valley). About 800 macadamia trees. About 32 ha cleared land including the macadamias.					
Improvements:	Timber & corrugated metal 1900's 3 bedroom dwelling, machinery shed and cattle yards.					
Comments:	Site value \$1,020,000 – indicates \$29,878/ha for cleared land (6.39 ha @ \$10,000 timbered land).					
Comparison:	This sale indicates a land value on an alternate use basis.					

11. Address	Sale Date	Sale Price	Area (ha)	Improvement Value	Land Value/ha	
					Improved	Ex-Structures
135 Coopers Creek Rd, Upper Coopers Creek	02/07/18	\$1,100,000	40.710	\$500,000	\$27,020	\$14,738
Land Description:	Steep and slope land, about 18 ha cleared to light timber.					
Improvements:	3 x timber & corrugated metal dwellings & sheds.					
Comments:	Lifestyle land – site value \$600,000 – indicates \$27,025/ha for cleared land (22.71 ha @ \$5,000 timbered land).					
Comparison:	This sale indicates a land value on an alternate use basis.					

12. Address	Sale Date	Sale Price	Area (ha)	Improvements, Value	Land Value/ha	
					Improved	Ex-Structures
24 James St, Dunoon	10/10/2018	\$1,430,000	25.42	\$730,000	\$56,255	\$27,537
Land Description:	An irregular, battle-axe shaped parcel of land comprising predominantly easy to moderately undulating topography and steeper ridges with a building site which is naturally contoured and positioned on a well elevated plateau. The land is generally cleared apart from some areas of uncleared gully/sidling along the creek and pockets of rainforest towards the rear of the property. The land faces north, east, west with panoramic local rural & hinterland views and frontage to a creek which traverses the near centre of the property. Access to the property is easy and direct.					
Improvements:	A circa 1990's, single level, 5 bedroom, 3 bathroom, renovated, detached semi-modern dwelling with rendered brick walls, metal roof, verandahs/patios, 1 car attached carport and 1 car detached garage/workshop. Ancillary improvements include an a 500 metre, tree-lined asphalt driveway with a large white stone chip parking area near the house; boundary fencing of rural construction and an enclosed "house site" yard of mixed construction; steel vehicle gate, gravel/white stone chip & paved paths; extensive landscaping with retaining walls, established gardens and a variety of young fruit trees; metal clad machinery/store shed with concrete floor, metal frame, metal roof, roller doors; solar power system (10 kW), bore with pump and reticulated system; dam/s, rain water tanks, septic tank, built-in spa (with lid) to verandah with "pop-up" TV, steel stock yards. Includes a 5 mgl water licence. The property has good external condition, good internal condition and good presentation.					
Comments:	Site value - \$700,000 – indicates \$32,425/ha for cleared land (10 ha @ \$20,000 balance land).					
Comparison:	This Sale indicates land value on an alternate use basis.					



'IN USE'	Date	Purchase Price ex. crop & plant	Ha overall	\$/ha overall	Ha Orchard	\$/ha mature orchard	\$/ha plantable land	\$/ha non plantable land	\$/tree
Dunoon Sales									
Sale 1	May-18	\$725,000	15.95	\$45,455	14.30	\$48,084		\$20,000	\$37.42
Sale 2	Jul-18	\$1,000,000	21.28	\$46,992	11.50	\$62,800	\$40,000	\$10,000	\$114.00
Sale 3	Apr-19	\$1,000,000	39.52	\$25,304	15.00	\$41,073		\$7,500	\$22.78
Sale 4	May-19	\$1,350,000	39.05	\$34,571	26.70	\$36,034		\$10,000	\$5.75
Sale 5	Sep-18	\$1,910,000	50.97	\$37,473	16.04	\$75,480		\$10,000	\$120.00
Alstonville Sales									
Sale 6	Jan-19	\$3,600,000	53.39	\$67,428	36.50	\$78,222		\$30,000	\$133.78
Sale 7	Feb-19	\$3,650,000	38.24	\$95,450	33.50	\$82,188		\$30,000	\$107.83
Sale 8	May-19	\$3,000,000	43.43	\$69,077	33.00	\$72,597		\$10,000	\$115.54
Sale 9	Jul-19	\$2,100,000	21.33	\$98,453	18.45	\$90,168		\$10,000	\$148.22
Valuation		\$8,150,000	138.94	\$58,658	97.47	\$70,000		\$10,000	\$89.47
Alternate Use									
	Date	Purchase Price	Ha overall	\$/ha overall	Cleared land	Timbered land	\$/ha cleared land	\$/ha timbered land	
Sale 10	Feb-19	\$1,240,000	38.39	\$32,300	32.00	6.39	\$29,878	\$10,000	
Sale 11	Jul-18	\$1,100,000	40.71	\$27,020	18.00	22.71	\$27,025	\$5,000	
Sale 12	Oct-18	\$1,430,000	25.42	\$56,255	15.42	10	\$32,425	\$20,000	
Valuation		\$4,500,000	138.94	\$32,309	97.47	41.47	\$32,500	\$10,000	

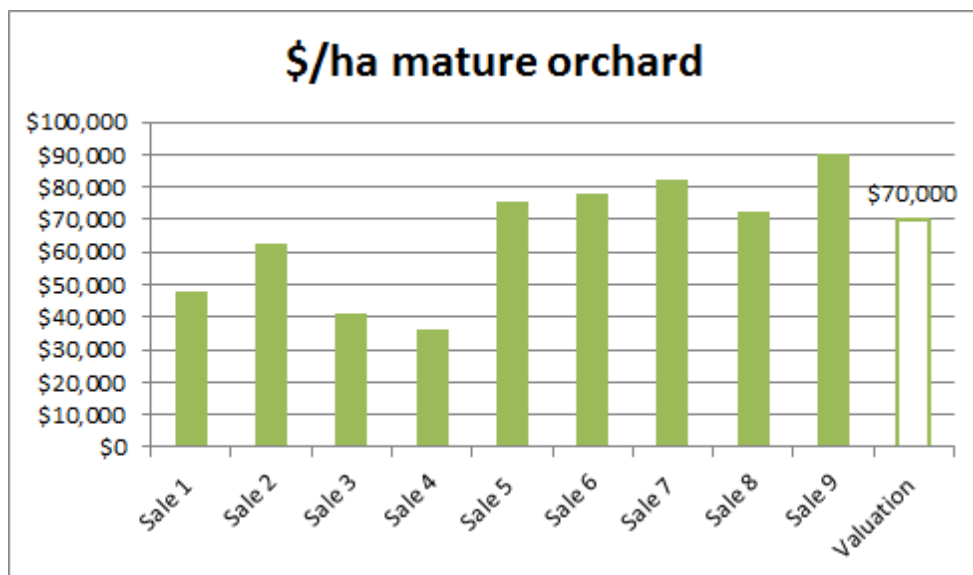


Sales Commentary

Evidence of recent sales of macadamia farms in the Dunoon locality indicates values in the range of \$36,034 - \$75,480/ha of mature orchard. Evidence of recent sales of macadamia farms in the Alstonville plateau area indicates values in the range of \$72,597 - \$90,168/ha of mature orchard (other sales held on file indicate up to \$105,667/ha).

Balance land area values are in the range of \$7,500 - \$30,000/ha.

A value of \$70,000/mature orchard ha and \$10,000/ha for balance area has been adopted for valuation purposes for the subject property.



The value of \$70,000/ha of mature orchard has been adopted as the subject property has, reasonable production levels and is elevated attractive land. There are some farm issues to address but this value level is still well below the values paid at Alstonville where farms with similar production levels per ha are selling for over \$90,000/ ha of mature orchard for smaller farms. The subject property is quite elevated and may have a higher rainfall than the lower altitude Dunoon sales evidence. Higher rainfall and more consistent shower conditions such as is experienced on parts of the Alstonville plateau, in local experience and anecdote, can lead to higher productivity and kernel recovery.

It is difficult to find a farm of this commercial size on the North Coast (other than the farms in the same ownership group). The recent sale of a large farm at Bundaberg supports value levels adopted.

The value of \$10,000/ha for balance land includes the creek and is considered reasonable.

Alternate Use Basis

Evidence of sales indicates cleared land values in the range of \$27,025 - \$32,425/ha. Rate per ha has been adopted for the summation method. The macadamia farm sales values per ha 'arable' land value ex. trees deduced have been considered. There is an additional sale under contract considered at 2466 Dunoon Road, Rosebank. It has reportedly sold for \$1,595,000 for 40.59 ha. It has a small area of macadamias and a water licence. Analysed cleared to light timber arable land value would be approximately \$36,000/ha. Cleared arable red basalt land at Alstonville has sold for approximately \$50,000/ha in recent years.

Values adopted are \$32,500/ha for arable land value and \$10,000/ha for balance land. The subject property elevation would be particularly attractive for avocados, blueberries and similar horticultural crops as frost becomes a lower risk. A value of \$32,500/ha may be exceeded if the land was cleared of macadamia trees on an alternate use basis.



VALUATION RATIONALE – AS IS

Valuation Rationale

In assessing the market value of the subject property we have had regard to the following valuation approaches:

- Summation
- Direct Comparison

These approaches use land area on a per hectare basis as the underlying basis on which to determine value.

Selling Period

Our assessment of market value herein assumes an effective marketing campaign of up to six months.

Summation Approach

This approach allows the Valuer to assess the individual components of the property. The various rates applied to both land and buildings are taken from our analysis of sales.

When utilising this methodology the property is valued on a land classification basis on a rate per hectare. The value of the building improvements and irrigation entitlements are added to the land value. The derived valuation amount for the land, buildings and irrigation entitlements is obtained from comparable sales evidence. The land values are provided on a cleared, fenced and watered basis.

Our workings on this basis are shown below.

Land Assessment

Country Classification	Development	Area (ha)	Rate (\$/ha)	Value
Red Basalt	Macadamia planted land and macadamia trees	97.47	70,000	\$6,822,900
Red Basalt	Balance area	41.47	10,000	\$414,700
Total Land Value		138.94	52,092	\$7,237,600
Added Value of Buildings				\$550,000
Total – Land and Buildings		138.94	56,050	\$7,787,600

Water Assessment

Type	Reference No	Volume (ML)	Rate (\$/ML)	Value
Unregulated River	30AL305996 WAL 22119	1	1,750	\$1,750
Unregulated River	30AL305983 WAL 22146	45	1,750	\$78,750
Unregulated River	30AL305962 WAL 22132	60	1,750	\$105,000
Unregulated River	30AL306013 WAL 22176	98	1,750	\$171,500
Total Irrigation Water Value				\$357,000
Combined value of Land, Irrigation Entitlements and Buildings				\$8,144,600
Rounded				\$8,150,000



Direct Comparison Approach

This approach takes into account that there are individual characteristics of the property including soil type, topography, rainfall, location, production capabilities, level of building improvements, water entitlements and infrastructure development in relation to water, fencing and pasture development.

When applying this approach, the reader needs to appreciate that this methodology requires subjective judgment by the Valuer to determine value. In circumstances where there are multiple land classifications, varying irrigation entitlement types and significant building improvements, the reliability of this approach is reduced.

Our working calculations are detailed in the table below:

Direct Comparison Valuation Assessment		Value
Land and Buildings	138.94 ha @ \$55,000/ha	\$7,641,700
Water Entitlements		\$357,000
Total		\$7,998,700
Rounded		\$8,000,000

Valuation Conclusion

In our valuation assessment of the property we have relied on several approaches and they provide a range of values. We have placed greater reliance on the summation approach as we consider it provides the most accurate assessment on how the market determines value.

Valuation Summary		Value
Summation Approach		\$8,150,000
Direct Comparison Approach		\$8,000,000
Adopted Value		\$8,150,000
Apportionment of tree value		
Mature macadamia orchard		\$6,822,900
Less:		
Land value ex. trees allow	97.47	\$35,000
Trees	38,130	\$89.47

Contract of Sale

We are not aware of any current contract of sale over the property.



VALUATION RATIONALE – ALTERNATE USE

Valuation Rationale

In assessing the market value of the subject property we have had regard to the following valuation approaches:

- Summation
- Direct Comparison

These approaches use land area on a per hectare basis as the underlying basis on which to determine value.

Selling Period

Our assessment of market value herein assumes an effective marketing campaign of up to six months.

Summation Approach

This approach allows the Valuer to assess the individual components of the property. The various rates applied to both land and buildings are taken from our analysis of sales.

When utilising this methodology the property is valued on a land classification basis on a rate per hectare. The value of the building improvements and irrigation entitlements are added to the land value. The derived valuation amount for the land, buildings and irrigation entitlements is obtained from comparable sales evidence. The land values are provided on a cleared, fenced and watered basis.

Our workings on this basis are shown below.

Land Assessment

Country Classification	Development	Area (ha)	Rate (\$/ha)	Value
Red Basalt	Arable land	97.47	32,500	\$3,167,775
Red Basalt	Balance area	41.47	10,000	\$414,700
Total Land Value		138.94	25,784	\$3,582,475
Added Value of Buildings				\$550,000
Total – Land and Buildings		138.94	29,742	\$4,132,475

Water Assessment

Type	Reference No	Volume (ML)	Rate (\$/ML)	Value
Unregulated River	30AL305996 WAL 22119	1	1,750	\$1,750
Unregulated River	30AL305983 WAL 22146	45	1,750	\$78,750
Unregulated River	30AL305962 WAL 22132	60	1,750	\$105,000
Unregulated River	30AL306013 WAL 22176	98	1,750	\$171,500
Total Irrigation Water Value				\$357,000

Combined value of Land, Irrigation Entitlements and Buildings	\$4,489,475
Rounded	\$4,500,000



Direct Comparison Approach

This approach takes into account that there are individual characteristics of the property including soil type, topography, rainfall, location, production capabilities, level of building improvements, water entitlements and infrastructure development in relation to water, fencing and pasture development.

When applying this approach, the reader needs to appreciate that this methodology requires subjective judgment by the Valuer to determine value. In circumstances where there are multiple land classifications, varying irrigation entitlement types and significant building improvements, the reliability of this approach is reduced.

Our working calculations are detailed in the table below:

Direct Comparison Valuation Assessment		Value
Land and Buildings	138.94 ha @ \$27,500/ha	\$3,820,850
Water Entitlements		\$357,000
Total		\$4,177,850
Rounded		\$4,180,000

Valuation Conclusion

In our valuation assessment of the property we have relied on several approaches and they provide a range of values. We have placed greater reliance on the summation approach as we consider it provides the most accurate assessment on how the market determines value.

Valuation Summary	Value
Summation Approach	\$4,500,000
Direct Comparison Approach	\$4,180,000
Adopted Value	\$4,500,000

INSURANCE ESTIMATE

Summary

In addition to providing a market value assessment for the subject property we have also been asked to provide our estimate of the likely cost of replacement of the buildings in the event they were destroyed.

Our calculations have been undertaken on the basis that the property was completely destroyed, the debris removed from the site and a new building of similar size and style erected in its place. Our assessment also reflects professional fees and an allowance for escalations over the insurance and reconstruction periods. On this basis the estimated costs of \$2,085,000 (exclusive of GST) would be required to replace the buildings. The Valuer is not a Quantity Surveyor or qualified in the field of building or construction and accordingly no professional liability is extended in this area. The above assessment is indicative only.

It should be noted that the above insurance assessment is exclusive of boundary and internal fencing, irrigation Infrastructure, including pump sheds, underground mains and above ground system.

A detailed assessment should be supplied by a Quantity Surveyor and/or Architect and any party relying on this report is recommended to seek appropriate advice of qualified parties.

A more detailed breakdown of individual improvement insurance values can be found at the end of the Annexures.



ANNEXURES

1. Instruction Letter
 2. Photographs
 3. Title Searches
 4. Property Plan
 5. Orchard Details
 6. Insurance Summary
 7. Manage Macadamia Farms – Fact Sheet
 8. NSW Rainfall Map
 9. NSW Contaminated Land Search
-



CERTIFICATIONS & QUALIFICATIONS

Accuracy of Information	We advise that any objective information, data or calculations set out in the Valuation Report will be accurate so far as is reasonably expected from a qualified and experienced valuer, reflecting due skill, care and diligence. However, we have not independently verified third party information, adopted it as our own, or accepted its reliability. If any of the information provided by others and referred to in the Valuation Report is incorrect, it may have an impact on the valuation. The valuation is provided on the proviso that the reliant party accepts this risk.
API Standards	This valuation has been prepared in accordance with the current Australian Property Institute's Valuation Practice Standards.
Boundary Fencing	It is not practical to identify all the boundaries of large area rural properties and it is often the case that encroachments of fences exist either way. In most instances this has limited to no effect on productivity, marketability or value. While there do not appear to be any major encroachments, valuers are not surveyors and no warranty can be given without the benefit of an identification survey.
Condition of Improvements	Whilst we have carried out a building inspection, we have not completed a detailed structural survey, verified the condition of the plant and machinery, tested any of the services or inspected unexposed or inaccessible portions of the building. We are therefore unable to state that these are free from defect, rot or infestation. We have viewed the general state of repair of the building and have assumed that the improvements are reasonably structurally sound considering their age.
Insurance Estimate	Our calculations have been undertaken on the basis that if the property were completely destroyed the debris would be removed from the site and a new building of similar size and style erected in its place. Any party relying on this advice must be aware that valuers are not quantity surveyors or qualified in the field of building or construction and accordingly we cannot extend any professional liability in this area and recommend properly qualified advice is sought. Should you require a precise estimate, this should be supplied by a quantity surveyor and/or architect.
Chemical Residue	The valuation assumes the property to have clear chemical residue status. If this is not the case and there is a cost to rectify, such may affect marketability and value and the valuation should be returned for reconsideration or reassessment.
Conflict of Interest	Neither the valuer, nor to the best of their knowledge, any member of this firm, has any conflict of interest, or direct, indirect or financial interest in relation to this property that is not disclosed herein.
Encroachments	We have physically identified the boundaries upon inspection and there do not appear to be any encroachments. However, we are not surveyors and no warranty can be given without the benefit of an identification survey.
Excluded Searches	The following searches have not been undertaken: Flood, Land Survey Plan and Contaminated Land Register. Our valuation assumes such searches would identify no issues that may affect the value and/or liquidity of the property. Should any person relying on the contents of this report be aware or become aware of an issue that may affect value and/or liquidity then the searches should be referred to the Valuer for comment.
First Mortgage	This valuation is provided on the basis that it may be used for assessing and providing first mortgage over the asset. We do not accept liability for losses arising from the assessment and/or provision of non-first mortgages.
Goods and Services Tax (GST)	We stress we are not experts in assessment of GST. We are not privy to the financial circumstances of the owner(s), any agreements executed (or to be executed) between the parties or the previous transactions relating to the property which may impact upon the status of the property for GST. We recommend any party relying upon this valuation seek independent advice in regard to any GST liabilities which may attach to the property.
Land not Affected	Unless identified within the body of this report, we assume, the land is not affected by unstable, hazardous, or toxic soil material; however, no professional expert advice has been sought in this regard. This valuation assumes that there are no problems, however, should any such issues arise; then this matter should be referred to the Valuer for further comment.
Limited Liability	Liability limited by a scheme approved under professional standards legislation.
Market Movement	This valuation is current as at the date of valuation only. The value assessed herein may change significantly and unexpectedly over a relatively short period (including as a result of general market movements or factors specific to the particular property). We do not accept liability for losses arising from such subsequent changes in value. Without limiting the generality of the above comment, we do not assume any responsibility or accept any liability where this valuation is relied upon after the expiration of 90 days from the date of the valuation, or such earlier date if you become aware of any factors that have any effect on the valuation. However, it should be recognised that the 90 day reliance period does not guarantee the value for that period; it always remains a valuation at the date of valuation only.
Native Title	The title searches for the subject property indicate that tenure to the subject property is freehold and, as such, it is likely that any native title claim over the subject property has been extinguished.
No Compliance Certificate	No Compliance Certificate/Certificate of Classification has been obtained. This valuation is subject to the building(s) complying in all material respects with any restrictive covenants affecting the site. Furthermore, it is assumed that the site improvements have been built, occupied and operated in full compliance with all requirements of law, including all zoning, land-use classifications, building, planning, fire and health by-laws (including asbestos and legionnaires disease), rules, regulations, orders and codes of all authorities, and that there are no outstanding requisitions.



No Pecuniary Interest	The valuer has no pecuniary interest in the subject property either past, present or prospective at the date of preparing this report and the opinion expressed is free of any bias in this regard.
Not to be reproduced without permission	Neither the whole nor any part of this valuation or any reference thereto may be included in any published documents, circular or statement, nor published in part or full in any way, without written approval of the form and context in which it may appear.
Other Taxation Implications	Herron Todd White are not taxation experts and we provide our valuation assessment and any associated sales, rental or feasibility analysis, independent of any consideration of income tax, capital gains tax or any other property related tax implications that may be associated directly or indirectly with the subject property.
Prudent Lending	This valuation is prepared on the assumption that the lender as referred to in the valuation report (and no other) may rely on the valuation for mortgage finance purposes and the lender has complied with its own lending guidelines as well as prudent finance industry lending practices, and has considered all prudent aspects of credit risk for any potential borrower, including the borrower's ability to service and repay any mortgage loan. Further, the valuation is prepared on the assumption that any such lender is providing mortgage financing at a conservative and prudent loan to value ratio. This clause (Prudent Lenders Clause) only applies if the lender is not a lender regulated by the Banking Act 1959 (Cth).
Structural Survey	This valuation report does not purport to be a site or structural survey of the land or improvements thereon, and any advice provided is not given in the capacity as an expert.
Termite/Pest Infestation	The subject property is located in an area considered susceptible to termite infestation. We are not pest inspectors / pest experts. Inspection of the subject improvements did not reveal any or revealed obvious visible termite infestation. However, this can only be confirmed by a certified pest control expert.
Town Planning	We assume that planning data obtained from the relevant Local Planning Authority is accurate. In the event that a Town Planning search or any other relevant Planning document is obtained and the information therein is later found to be materially different to the town planning information detailed within the valuation, we reserve the right to amend the valuation.
Photographs	We confirm that all photographs in this report have been taken by the Valuer on the inspection date.



Annexure 1 - Instruction Letter

9/4/2019

12202764 / 82 ROCKY CREEK DAM Road, DUNOON NSW 2480 Regional

Rural Report

82 ROCKY CREEK DAM Road, DUNOON NSW 2480

ValEx ID 12202764

Ordered By Paula Hilliard
Paula.P.Hilliard@nab.com.au
Phone +610266274817

Funder National Australia Bank - NAB

Client Agreement Level 3

Client National Australia Bank Limited - NAB-AGRIBUSINESS

Client Type Bank

Valuation Firm Herron Todd White (NSW North Coast) Pty Ltd

Valuer Paul O'Keeffe

Valuation Type Standard Mortgage

Order Date Tue 3rd September 2019, 9:16am AEST

Fees Quoted Fees
\$3,500.00 (ex GST)

Valuation Fee \$3,500.00
Payment Info
Valuer Quoted Fees N/A

Banker Name Paula Hilliard

Banker Email

Banker ID N132586

Customer Linked BUID 793756752

Loan Ref 1-2OHGHUR

Other Ref 1-2OHGHUR
1-3GMMFB4

Borrowers DISCOVERY MACADAMIA PTY LTD ACN 609 762
594 ATF DISCOVERY MACADAMIA UNIT TRUST

Additional Ordering Contact N/A

Requestor Cath Stanford
Cath.V.Stanford@nab.com.au
Work +610266274817

Owners N/A

Prices \$4,650,000 (estimated)

Transaction Purchase

Purpose Mortgage

Property Type Specialised No 1

Previous Sale N/A

Property Value N/A

Complex Security No

BICOE Stage N/A

Communication Path - Valfirm to Client

Indicates that the Valfirm can only liaise with the Client

Where do I source documentation from? Client to Provide

Ensure you add a Delay to request the Documentation

Contacts

Inspection Contacts

Cath Stanford - Requestor
Cath.V.Stanford@nab.com.au
Work +610266274817
alex Young - Other
Mobile 0433 889 949

Add/Edit Contacts

Additional Instructions / Notes

Total area 139.05 ha, producing area 97.47 ha with 34,539 mature macadamia trees ranging 7-38 years and average production 2.51 t/ha (7.07 kg/tree). 204 Mgl water licence. Val previously requested, Herron Todd White quote accepted by customer. Please assign valuation to HTW for completion. Earlier val request cancelled due to NAB system restraints.

Avg Yield Last 3 Years: 2.51t/Ha
Other Land Usage: Macadamia trees
Land Usage: Other



Annexure 2 - Photographs



Machinery shed



Machinery shed



Pump shed



Pump



Fuel tank



Pump



Entrance Lot 1 DP 555501



Dwelling 3 Lot 1 DP 555501





Block 2



Block 3



Pump site at Rocky Creek near Lot 16 DP 827766



Rocky Creek crossing near Lot 16 DP 827766



Block 9



Block 8



Block 8



Rocky Creek





Block 10



Water fill point near Block 10



Block 10



Block 12



Block 13



Block 13



Block 18



Rural views Lot 15 DP 827766





Block 19



Block 21



Block 19



Block 20





LAND
REGISTRY
SERVICES

Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 1/555501

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	6	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 1 IN DEPOSITED PLAN 555501
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP555501

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (2 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

COM JB1579102

PRINTED ON 13/9/2019

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NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 2/555501

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	5	9/9/2018

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LAND

LOT 2 IN DEPOSITED PLAN 555501
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP555501

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (2 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

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NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 3/632934

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	5	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
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LAND

LOT 3 IN DEPOSITED PLAN 632934
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF WHIAN WHIAN COUNTY OF ROUS
TITLE DIAGRAM DP632934

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (2 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

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NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 14/827766

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	8	9/9/2018

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CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 14 IN DEPOSITED PLAN 827766
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP827766

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (2 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

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NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 15/827766

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	8	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 15 IN DEPOSITED PLAN 827766
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
TITLE DIAGRAM DP827766

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (3 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 LAND EXCLUDES THE ROAD(S) SHOWN IN THE TITLE DIAGRAM
- 3 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

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Title Search



NEW SOUTH WALES LAND REGISTRY SERVICES - TITLE SEARCH

FOLIO: 16/827766

SEARCH DATE	TIME	EDITION NO	DATE
13/9/2019	11:01 AM	5	9/9/2018

NO CERTIFICATE OF TITLE HAS ISSUED FOR THE CURRENT EDITION OF THIS FOLIO.
CONTROL OF THE RIGHT TO DEAL IS HELD BY NATIONAL AUSTRALIA BANK LIMITED.

LAND

LOT 16 IN DEPOSITED PLAN 827766
AT DORROUGHBY
LOCAL GOVERNMENT AREA LISMORE
PARISH OF DUNOON COUNTY OF ROUS
PARISH OF WHIAN WHIAN COUNTY OF ROUS
TITLE DIAGRAM DP827766

FIRST SCHEDULE

DISCOVERY MACADAMIA PTY LTD (T AK683982)

SECOND SCHEDULE (3 NOTIFICATIONS)

- 1 LAND EXCLUDES MINERALS AND IS SUBJECT TO RESERVATIONS AND
CONDITIONS IN FAVOUR OF THE CROWN - SEE CROWN GRANT(S)
- 2 LAND EXCLUDES THE ROAD(S) SHOWN IN THE TITLE DIAGRAM
- 3 AK683985 MORTGAGE TO NATIONAL AUSTRALIA BANK LIMITED

NOTATIONS

NOTE: THIS FOLIO MAY BE ASSOCIATED WITH A CROWN TENURE WHICH IS
SUBJECT TO PAYMENT OF AN ANNUAL RENT. FOR FURTHER DETAILS CONTACT
THE LOCAL CROWN LANDS OFFICE AT GRAFTON

UNREGISTERED DEALINGS: NIL

*** END OF SEARCH ***

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Annexure 4 – Property Plan



Annexure 5 – Orchard Details

Block	Variety	Planted	Age (years)	Area (ha)	Row width	Row width	Approx. tree No.	Approx. tree No./ha
1	246, 344, 800	1980	39	1	7	3	476	476
2	246, 344, 800	1980	39	6.7	7	3	3,190	476
3	246, 344, 508, 333	1984	35	3.6	7	3	1,714	476
4	246, 344	1985	34	2	7	3	952	476
5	246, 344	1985	34	2.15	7	3.5	878	408
6	246, 344	1985	34	0.7	7	3.5	286	408
7	246, 344, 508	1985	34	6.7	7	3	3,190	476
8	246, 344, 800	1986	33	2.6	7	3	1,238	476
9	246, 344	1986	33	1.7	7	5.5	442	260
10	246, 344, 508, 333	1987	32	8.4	7	3	4,000	476
11	246, 344, 508, 333	1988	31	6.8	7	3	3,238	476
12	246, 344, 508, 333	1989	30	6.6	7	3.5	2,694	408
13	246, 344, 508, 333	1990	29	4.5	14	3.5	918	204
14	246, 344, 800	1991	28	7	7	3.5	2,857	408
15	246, 344, 800	1991	28	4	7	3.5	1,633	408
16	246, 344, 800, 741, OV	1993	26	3	7	3.5	1,224	408
17	246, 344, 800, 741, A4, A38, 849, OV	1995	24	14	7	3.5	5,714	408
18	246, 344, 800, 741, A4, A38, A16, OV	1996	23	2.6	7	3.5	1,061	408
19	246, A38, 849, A199	1998	21	6.8	7	3.5	2,776	408
20	A203, A268, 815, 781, 842, 816, 849, DADDOW	1998	21	5.4	7	3.5	2,204	408
21	A203, A268, 815, 781, 842, 816, 849, DADDOW, A16, A4, V47	1995	24	1.7	7	3.5	694	408
22	DADDOW	2011	8	0.4	10	5	80	200
				98.4			41,460	422



Annexure 6 - Insurance Summary

Building	Added Value	Repl Rate	Repl Value
Main Residence Lot 16 DP 827766	\$190,000		\$447,600
Pool Lot 16 DP 827766	\$10,000		\$50,000
Dwelling 3 Lot 1 DP 555501	\$130,000		\$409,500
Dwelling 4 Lot 1 DP 555501	\$40,000		\$125,000
Dwelling 2 Lot 14 DP 827766	\$125,000		\$286,600
Septic tanks & tanks	\$20,000		\$80,000
Machinery shed Lot 16 DP 827766	\$20,000		\$188,100
Machinery shed Lot 16 DP 827766	\$5,000		\$37,400
Pump shed near Lot 16 DP 827766	\$5,000		\$10,000
Pump shed Lot 15 DP 827766	\$5,000		\$10,000
Total	\$550,000		\$1,644,200
Rounded			\$1,645,000

Insurance Summary	Values
Replacement Cost	\$1,645,000
Professional Costs	\$50,000
Demolition	\$200,000
Loading	\$189,500
Total	\$2,084,500
Estimated Insurance Value	\$2,085,000



MANAGING FARMS TO PROTECT WATERWAYS

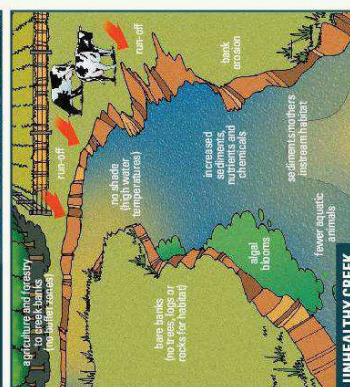
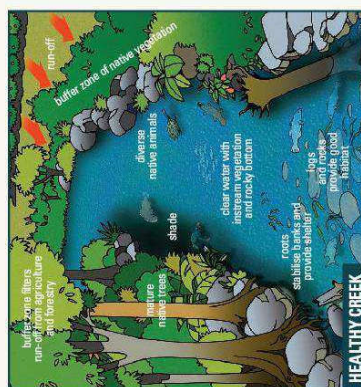
Managing macadamia farms to protect waterways is an integral part of good land management. It helps protect:

- the **health** of our waterways
- our local **drinking water supply**
- land and vegetation adjacent to waterways.

WHAT CAN LANDHOLDERS DO?

and managers can protect drinking water quality by:

- reducing **soil erosion**
controlling **runoff**
providing cover crops, **groundcovers** or mulch to maintain the orchard floor
regenerating rainforest to provide a **buffer** for agricultural activities
incorporating **Integrated Pest Management**



REGIONAL DRINKING WATER CATCHMENTS

A catchment is an area of land that feeds rainwater into a creek, river or other water body such as a dam. If that water is used for drinking, the catchment is known as a drinking water catchment.

Rous County Council has three main functions: bulk water supply; weed biosecurity; and flood mitigation. It is the regional water supply authority supplying drinking water in bulk to the local government areas of Lismore (excluding Nimbin), Ballina (excluding Wardell), Byron (excluding Mullumbimby), and Richmond Valley (excluding Casino).

This water is sourced from three key drinking water catchments including the catchments of Rocky Creek Dam, Emigrant Creek Dam and the Wilsons River Source as well as a number of groundwater sources.

orous County Council manages these drinking water catchments to ensure the quality of drinking water for over 100,000 local people.

PROTECTING OUR WATERWAYS IS A SHARED RESPONSIBILITY

Protecting our drinking water catchment is a responsibility Rous County Council shares with industry, businesses, landholders, communities and individuals. Every control measure counts and contributes to the quality of drinking water supplies in the long term.



FURTHER INFORMATION

For information about managing your farm to protect water quality including fencing, protecting or restoring vegetation and financial assistance opportunities available contact Hous County Council, your Local Land Services or Landcare.

CONTACT US

Rous County Council
Level 4, 218/232 Molesworth Street,
Brisbane NSW 2480
Phone 08 9423 3800
Email ccouncil@rous.nsw.gov.au
Website www.rous.nsw.gov.au

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ROUS

MANAGE MACADAMIA FARMS

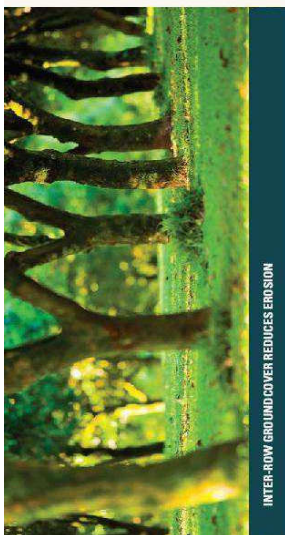
**to look after our drinking
water catchments**

"Eventually the water that runs off a drinking water catchment area will be consumed by people. The activities of local landholders directly influence our community's drinking water supply."



HEALTHY CATCHMENTS = QUALITY WATER

- Q** Do you manage property in a drinking water catchment?
- A** If so, you have a duty of care to protect water quality.
- Q** Do you want to manage your macadamia farm to protect drinking water?
- A** If so, financial assistance opportunities may be available.



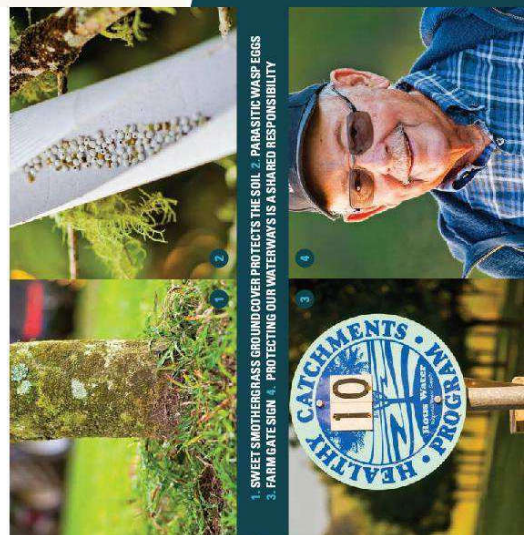
INTER-ROW GROUND COVER REDUCES EROSION

THE IMPACT OF MACADAMIA FARMS ON WATER QUALITY

Macadamia farming accounts for a high proportion of land-use in our drinking water catchments. Poor land management on macadamia farms can lead to excessive runoff, soil erosion, high use of pesticides, reduced water quality and damage to in-stream ecosystems.

This affects **river health** and **drinking water quality** by introducing:

- **nutrients** from pesticides, herbicides and fertilisers which cause an increase in the risk of blue-green algal blooms (some of which can be toxic); and
- **sediment** from soil erosion and runoff from farms which harms aquatic life, clogs streams and burdens the drinking water process.



1. SWEET SMOTHERGRASS GROUND COVER PROTECTS THE SOIL 2. PARASITIC WASP EGGS
3. FARM GATE SIGN 4. PROTECTING OUR WATERWAYS IS A SHARED RESPONSIBILITY

HOW CAN LANDHOLDERS MANAGE FARMS TO PROTECT WATERWAYS?

Reduce Soil Erosion

A basic set of principles applies to reducing soil degradation and achieving erosion control on macadamia farms. Landholders should:

- provide maximum soil surface protection via pasture or mulch
- minimise the length of time soil is left bare
- control runoff water from flowing over bare ground.

Control Runoff

Applying a range of strategies to reduce nutrient contamination of runoff water is an integral part of good land management. Macadamia producers should:

- maintain good ground cover around dams, watercourses and streams
- avoid fertilising areas that carry runoff water, are without groundcovers, or near watercourses
- apply fertiliser in smaller, more frequent amounts and avoid fertiliser application prior to or during periods of heavy rainfall
- check earthworks such as inter-row drains, mounded tree rows or diversion banks for necessary repairs and maintenance
- revegetate or mulch bare areas created by harvesting, vehicular traffic, erosion or other reasons.

Cover Crops, Groundcovers, or Mulch

Carefully selected cover crops, ground covers or mulch used for both inter-row and under tree areas in the macadamia orchard not only help reduce erosion but can also provide the landholder with:

- organic matter
- weed suppression
- increased water infiltration
- reduced fertiliser loss
- nitrogen fixation as well as improved micro-environment for establishing trees.

Integrated Pest Management

Following Integrated Pest Management (IPM) on macadamia farms reduces nutrients from pesticides, herbicides and fertilisers from leaching into our drinking water catchment. Using IPM on the farm can significantly reduce:

- chemical spraying for borers and bugs
- poisoning and trapping for rats
- costs associated with pest management.

Macadamia producers can reduce pest animals on farms by attracting bats and birds to the farm by:

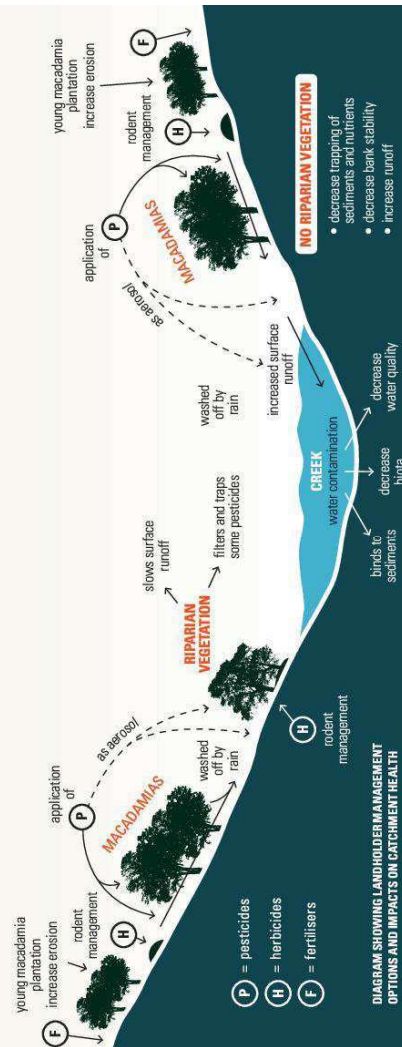
- providing nesting boxes for barn owls and micro-bats
- planting rainforest species on the farm to encourage birds, beneficial insects and carpet snakes.

Riparian Vegetation

Protecting and restoring waterway fringes with vegetation creates a buffer zone between agricultural activity and the waterways flowing through our catchments.

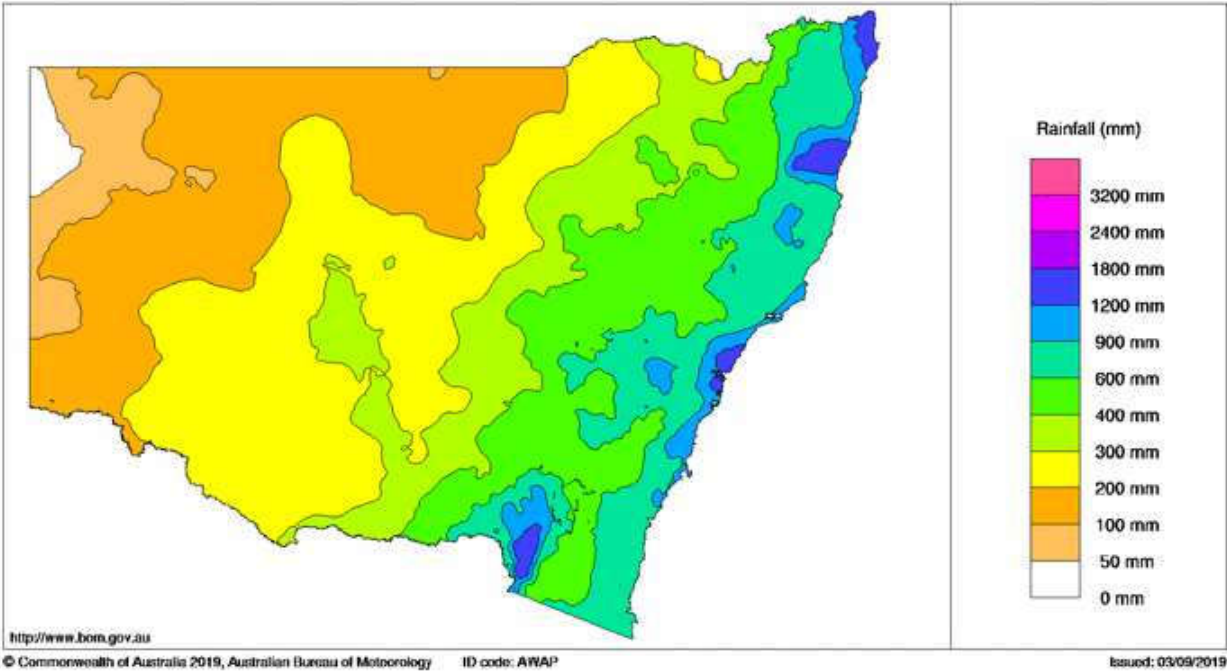
In addition to increasing drinking water quality, protecting and regenerating waterway fringes on macadamia farms helps to:

- improve property values
- attract and support wildlife
- slow surface runoff and reduce erosion
- limit rats and other pests through the encouragement of beneficial insects, owls and snakes
- filter and trap chemicals and pesticides.



Annexure 8 – NSW Rainfall Map

New South Wales Rainfall totals (mm) 1 September 2018 to 31 August 2019
Australian Bureau of Meteorology



Annexure 9 – NSW Contaminated Land Search

The EPA Record of Notices only if the EPA has issued a regulatory notice in relation to the site under the Contaminated Land Management Act 1997.

The EPA determines whether contamination is significant enough to warrant regulation under the CLM Act. In making this decision, it considers a range of factors, including those listed in section 12 of the CLM Act.



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Search results

Your search for: LGA: Lismore City Council

Matched 19 notices relating to 8 sites.

[Search Again](#)

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Suburb	Address	Site Name	Notices related to this site
GOONELLABAH	Bruxner HIGHWAY	Dip 4885 McDermott's	1 current
GOONELLABAH	161 Invercauld ROAD	Former Invercauld Road Cattle Dip	3 former
LISMORE	Cnr John Street & Keen STREET	Lismore Gasworks	6 former
LISMORE HEIGHTS	22 New Ballina ROAD	Beardow Street Road Reserve	1 current
LISMORE HEIGHTS	426 Ballina ROAD	Coles Express Lismore Heights	2 current
SOUTH LISMORE	Caniaba STREET	Lismore Airport	3 former
TERANIA CREEK	Wallace ROAD	Former Izzards Cattle Tick Dip	2 former
TUNCESTER	13 Rifle Range ROAD	Asbestos Waste Burial Site	1 current

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3 September 2019



"LRC"82 Rocky Creek Dam Road, Dunoon, NSW 2480
JB1579102
Date of Valuation: 26 August 2019